



Document Name	Consumer BG MSS Sample Management Process		
Process Owner	Director of Consumer BG Operation Support Dept	Validity Period	2 years
Business/Dept.	Consumers Business	Region	Global
BPA	24.0 Consumer Business CRM > 24.26 Manage Consumer Quality Operations > 24.26.2 Manage Business Operations Improvements		

1 Basic Information

Process Purpose	As samples are of great importance to product development, marketing, retail, and services, and are extensively used in business operations, this document is formulated, to standardize the lifecycle management of samples applied for via the Terminal Sample Management Platform (TSMP) in the Huawei brand (including HiLink products) marketing and sales service (MSS) field of the Consumer BG to control sample expenses in an appropriate way, ensure the smooth supply of samples, reduce internal control and comply with the compliance requirements.		
Process Overview	Currently, samples include four types: GTM samples, retail samples, marketing samples, and service samples. Their lifecycle includes the following modules: requirement planning, planned goods preparation, sample application, sample use, sample write-off, etc. This document describes the roles involved in each module and their responsibilities, business regulations, and business activities in detail. The functional leadership departments in the MSS domain are responsible for the overall management and expense control of samples. The MSS quality operations department is responsible for the overall operations of samples in the region and information maintenance and function optimization in TSMP. For other business domains of the Consumer BG, such as cloud service and strategy marketing, if required by business needs to apply for sample devices through the sales and service TSMP channel for business development, the quality operations department in each domain shall check whether the application is reasonable, authentic, and compliant.		
Process Performance Indicator	Proportion of the global shipment to the sell-in, Non-physical write-off rate, Proportion of expired samples that are not written off, Sample stocktaking rate		
SLA/OLA	NA		
Process Start Point	Sample requirements	Process End Point	Sample write-off completed
Corporate Standard	Yes	Adapted From	NA
Scene	NA	Business Domain	NA



2 Definitions of Sample Type, Use of Sample and Business Scenarios

Sample Type	Use of Samples	Business Scenario	Earliest Version That Can Be Applied for	Application Deadline	Asset Registration Period		Number of Renewal Times	Write-off Mode
					B2C Samples	B2B Samples		
GTM sample	Expanding sample	Sample used for market development, demonstration of functions and IDs to customers (including carriers, channel partners, B2B customers, etc.), and training for B2B customers	V4	B2C: three months after product launch B2B: EOM	6 months	18 months	1	Physical write-off Individual purchase
	Testing sample	Sample used for network access, bidding tests, admission tests, and other purposes during target market expanding of customers (including carriers, channel partners, B2B customers, etc.); sample used for version upgrade tests and maintenance	V3	B2C: three months after product launch B2B: EOM	24 months	24 months	1	Physical write-off Non-physical write-off Individual purchase
	Seeding sample	Sample used for experience evaluation of partners related to device business	Mass production	EOM	6 months	6 months	0	Physical write-off Non-physical write-off Individual purchase
Retail sample	Live demo sample	Sample displayed in shops in a long period of time for consumer experience and demonstration Note: Such samples shall be applied for preferentially in the form of customer purchase contract (the samples are	VN2	EOM	18 months	-	1	Physical write-off Individual purchase



Sample Type	Use of Samples	Business Scenario	Earliest Version That Can Be Applied for	Application Deadline	Asset Registration Period		Number of Renewal Times	Write-off Mode
					B2C Samples	B2B Samples		
		owned by customers and do not need to be written off). For details, see the <i>Retail Sample Management Regulations</i> .						
	Retail training sample	Sample used by the training team for demonstrating product appearance, selling points, operations, or other features during the training for internal or external salespersons and external customers	VN2	EOM	12 months	-	1	Physical write-off Individual purchase
	Promotion sample	Sample displayed to consumers for demonstration, consumer experience, and experience and demonstration for sales promoters (temporary promoters and models) in offline promotion activities (such as roadshow, and short-term demonstration in shops or shopping malls)	VN2	EOM	12 months	-	1	Physical write-off Individual purchase
		Sample used for retail material design, proofing, and test (for example, anti-theft device, innovative materials, and APK) based on the purpose of retail promotion	V3					
	Portable sample	Sample provided for Huawei employees, Smartcom employees, and FF(Field Force) personnel to experience product functions during daily shop	Mass production	EOM	12 months	-	1	Physical write-off Non-physical write-off Individual



Sample Type	Use of Samples	Business Scenario	Earliest Version That Can Be Applied for	Application Deadline	Asset Registration Period		Number of Renewal Times	Write-off Mode
					B2C Samples	B2B Samples		
		operations; sample used for purposes such as smart sales, app-pos, Discover HUAWEI, and mini programs						purchase
	Shop assistant evaluation sample	Sample provided for key non-Huawei retail personnel (including shop assistants, shop managers, and telephone sales center staff) in markets that concentrate on carriers and top key accounts (KAs) and have few field force staff for experience to improve their product familiarity	Mass production	EOM	12 months	-	1	Physical write-off Non-physical write-off Individual purchase
Marketing sample	Media evaluation sample	1. Sample used for media experience to provide objective evaluation 2. Experience evaluation and live commerce of key opinion leaders (KOLs) such as pop stars, celebrities, core KOLs, brand partners (non-customer), and specific user groups 3. Used in variety shows, movies, and TV series for advertising	VN2	EOM	China region/HQ: 12 months Outside the China region: 6 months	12 months	1	Physical write-off Non-physical write-off Individual purchase
	Consumer marketing sample	Sample used in consumer-oriented marketing activities initiated or participated by Huawei, such as samples used as rewards or for interaction in lucky draw and other activities, as	Mass production	EOM	6 months	-	1	Physical write-off Non-physical write-off



Sample Type	Use of Samples	Business Scenario	Earliest Version That Can Be Applied for	Application Deadline	Asset Registration Period		Number of Renewal Times	Write-off Mode
					B2C Samples	B2B Samples		
		consumer souvenirs, and in award selection activities (Only for the Greater China Device Marketing Dept)						
	Co-branding sample	Sample used in co-branding scenarios (Note: 1. The samples can only be used by the Greater China Device Business Dept. For details, see the document released by the China Region. 2. Business decision-making records and effective Cooperation Agreement must be uploaded for the application process.)	Mass production	EOM	6 months	-	1	Physical write-off Non-physical write-off
	Research and evaluation sample	1. Product marketing/Brand strategy research: User researches are used to help decide global product marketing directions and positioning, including but not limited to which product is to be launched in which regions and what the corresponding marketing strategies are 2. Experience and evaluation of product marketing: Huawei's corresponding marketing representatives are responsible for evaluating experience samples, discovering product selling	V3	EOM	6 months	12 months	1	Physical write-off Individual purchase



Sample Type	Use of Samples	Business Scenario	Earliest Version That Can Be Applied for	Application Deadline	Asset Registration Period		Number of Renewal Times	Write-off Mode
					B2C Samples	B2B Samples		
		points, deciding packaging, and preparing product decks						
		3. Strategic topic research/Competition analysis and consumer experience evaluation: Product performance and experience analysis, competitive product comparison analysis, and consumer experience comparison, including hardware functions, full-scenario experience test, interaction experience, UI, cloud service, and third-party app. Note: This scenario is applicable to the strategy marketing business. The Strategy Marketing Dept is responsible for issuing and executing detailed management rules.						
	Planning and advertisement sample	Sample used for agency briefing, planning, creativity, preparation of product marketing materials and content, and below the line (BTL) strategy determination (including roadshow design and KV design)	V3	EOM	6 months	12 months	1	Physical write-off Individual purchase
	Exhibition and display sample	Sample used for demonstration and product experience in activities such as exhibitions, launch	VN2	EOM	12 months	18 months	1	Physical write-off Individual



Sample Type	Use of Samples	Business Scenario	Earliest Version That Can Be Applied for	Application Deadline	Asset Registration Period		Number of Renewal Times	Write-off Mode
					B2C Samples	B2B Samples		
		events, and official live streaming, demonstration to various partners (including carriers, channel partners, and B2B customers) in exhibition halls						purchase
Service sample	Service verification sample	Sample used for service DFS verification, device disassembly and assembly, fault reproduction, lifecycle management team's (LMT's) new product issue handling, and self-service app tests, hotline agents validating the customer's issues and providing operation instructions	V3	EOM	36 months	36 months	0	Physical write-off Individual purchase
	Repair verification sample	Sample used for device disassembly and assembly, equipment fixture verification, self-repair line for know-how verification, spare parts and packaging material verification, BOM content verification for repair requiring disassembly and assembly, etc. Such a sample can only be applied for by HQ.	V1	EOM	12 months	12 months	0	Physical write-off Individual purchase
	Service training sample	Sample used for service training for new products	VN2	EOM	12 months	18 months	1	Physical write-off Individual purchase

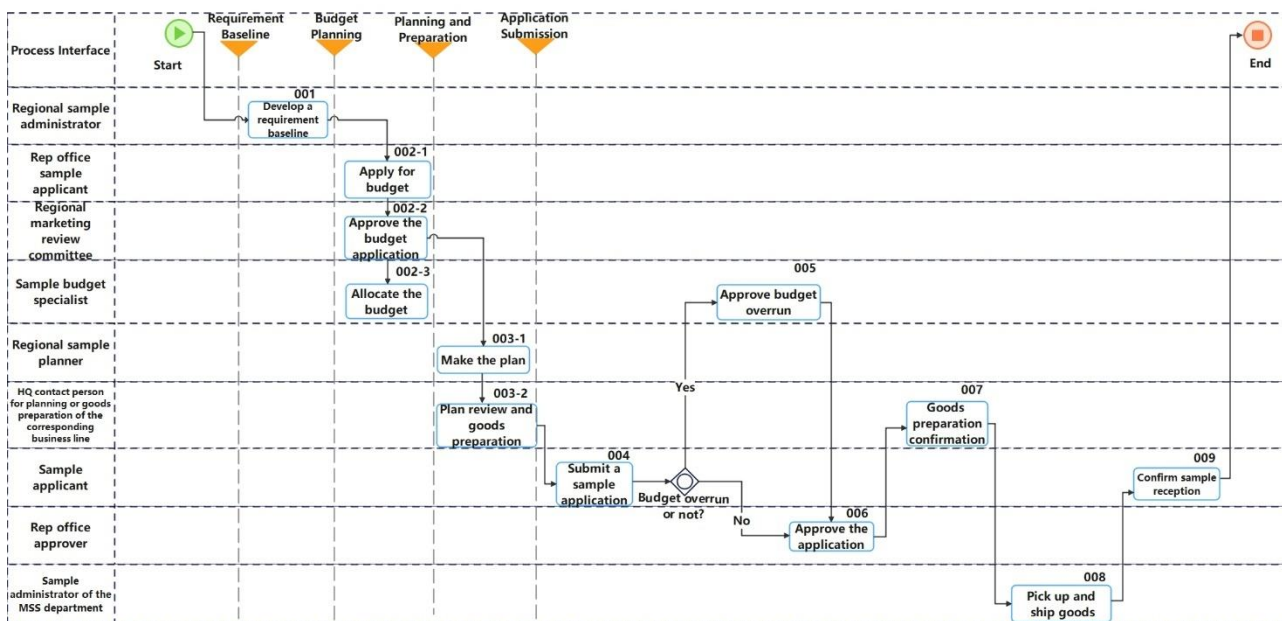
Notes:



- The Sales & Service sample can be obtained only through TSMP application (live demo samples shall be purchased through contract signing with customers, excluding samples transferred from products for commercial use at Huawei self-operate stores, and samples used in consumer marketing activities.). It is prohibited to use any other channels, including but not limited to SSE reimbursement after personal advance payment, purchasing from customers/suppliers, picking up goods from e-commerce warehouses, joint marketing or temporary incentives, and reusing samples from RTCs. Special scenarios must be reported in advance, refer to the requirements of 3.4.6 "Special Scenario Approval". In addition, all samples obtained in this special scenario must be manually registered on the TSMP according to the requirements of 3.2.6 "Manual registration for samples out of TSMP system", and managed according to the requirements of this document.
- If the actually requested sample is earlier than the earliest version that can be applied for listed in the table above, the sample applicant must first confirm and evaluate potential risks with the goods preparation contact person and R&D contact person in advance before applying for the sample, and actively contact the R&D contact person to upgrade the software version after obtaining the samples.
- For details about how to manage ecological samples, see the sample management regulations released by the Global Ecosystem Development and Operation Dept.
- For HiLink products, in principle, only five types can be applied for, including GTM expanding sample, GTM testing sample, retail training sample, service verification sample, seeding samples. Samples for other purpose need to be approved by functional leadership for corresponding product line, otherwise, the shipment is not allowed.
- It is prohibited to apply for samples through TSMP in scenarios other than the preceding ones.
- In principle, a sample can be renewed for only one time, and each time the sample is renewed for six months. If the sample is renewed for more than one time, the renewal process must be approved by the director of the corresponding tier-3 department.

3 Process Details

3.1 Sample Application





Sample
Application.eddx

Activity No.	Activity Properties	Content
001	Activity Name	Develop a requirement baseline.
	Activity Description	Each HQ, regional, and rep office department shall develop the sample requirement baseline for their own department based on the local business requirements. The requirement baseline shall be approved by the department ST or marketing review committee. For details, see the corresponding attachment.
	Responsible Role	Regional sample administrator
	Participating Role	NA
	Input	This process is based on the sample requirement baselines, control rules, and authorization suggestions provided by HQ functional leadership of business lines
	Output	Approval of the sample requirement baseline from the department ST or relevant review committee (e.g. marketing review committee or GTM control review committee)
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA
002-1	Activity Name	Apply for budget.
	Activity Description	Develop the annual/quarterly sample requirement plan of the rep office based on historical product shipments, annual roadmap planning, and go-to-market strategy. In principle, the sample requirement planning must comply with the department's sample requirement baseline and control rules or authorization suggestions. If the requirements are beyond the baseline, the reason must be specified.
	Responsible Role	Rep office sample applicant
	Participating Role	NA
	Input	Historical records of product shipment, sample requirement baseline, and sample control rules or authorization suggestions
	Output	Rep office annual/quarterly sample budget planning
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA
002-2	Activity Name	Approve the budget application.
	Activity Description	Review the sample budget plan submitted by the rep office based on actual business requirements.



	Responsible Role	Marketing review committee at the corresponding level
	Participating Role	NA
	Input	Rep office annual/quarterly sample budget planning
	Output	Decision made by the marketing review committee
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA
002-3	Activity Name	Allocate the budget.
	Activity Description	Allocate the budget on TSMP based on the approved rep office annual/quarterly budget plan and the granted budget quota according to the management and control principles of finance. For details, see the <i>Budget Planning and Planned Goods Preparation Operation Guide</i> attached.
	Responsible Role	Sample budget specialist
	Participating Role	NA
	Input	Decision made by the marketing review committee
	Output	Budget amount of the rep office
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA
003-1	Activity Name	Make the plan.
	Activity Description	Track the entry of the sample request plan by the rep office, or directly enter the sample request plan of the region. In principle, the total quantity of products requested shall not exceed the planned quantity that has been approved by the region. If the plan is changed as the request changes, contact the HQ contact person for planning or goods preparation of the corresponding business line to cancel the application or allocate inventories. If inventories are overstocked due to untimely feedback or allocation failure, the expenses incurred by the HQ to clear inventories shall be apportioned as planned remaining quantity of the plan.
	Responsible Role	Regional sample planner
	Participating Role	NA
	Input	Approved rep office annual/quarterly plan and rep office sample requirement plan
	Output	Regional sample plan
	KCP	NA
	Associated Business Rules	NA
003-2	Associated Authority	NA
	Activity Name	Plan review and goods preparation



Activity Description

1. The goods preparation contact collects global sample plan requirements based on the GTM control pace and submits the requirements to the HQ contact person for planning of the corresponding business line for review. Arrange sample production and allocate samples globally based on the actual output and product go-to-market strategies.
 - For mass production requirements, for example, seeding samples, shop assistant evaluation samples, live demo samples, etc., the goods should be prepared based on the iPlan S&OP demand forecast by the requesting department, while samples of other types should be prepared based on the plan on TSMP.
2. As the owner of the planned goods preparation, track and confirm that samples are inbound according to the planned goods preparation pace.
 - To ensure the compliance of sample customs clearance and traceability of sample management, product data files must be available and uploaded to the TGMES system for all sample sub-inventories of the Sales & Service Dept in 02 warehouse, refer to Device Product Data File Transfer Process Consumer BG&HQ

*Product data files must be available in each sample sub-library of the following BOM headers when the products are imported to the sales service:

Integrated Device BOM header (first four digits)	Finished good/accessory	remark
5008	Integrated Device	
5101	Integrated Device	
5102	Integrated Device	
5103	Integrated Device	
5104	Integrated Device	
5105	Integrated Device	
5106	Integrated Device	
5107	Integrated Device	
5108	Integrated Device	
5109	Integrated Device	
5301	Integrated Device	



		5302	Integrated Device	
		5303	Integrated Device	
		5306	Integrated Device	
		5501	Integrated Device	
		5502	Integrated Device	
		5503	Integrated Device/ Accessory	No data file is available for accessories such as shell, sleeve, and film of the 5503 connector.
		5504	Integrated Device	
		5505	Integrated Device	
		5506	Integrated Device	
		5507	Integrated Device	
		5508	Integrated Device	
		5509	Integrated Device	
		➤ Exception scenario 1: It can be allowed to transfer-in sales & service sub-warehouse that special R&D materials (such as R&D raw materials and original components) without data files need to be delivered to the frontline through the sales and service sample channel. (a) The Device Manufacturing Engineering Dept reviews and confirms whether the materials are special R&D materials and haven't data files. (b) When special R&D materials are transferred to the sales & service sample sub-warehouse without data files, this information such as the material name, BOM code, SN, and factory must be provided separately. ➤ Exception scenario 2: Samples of third-party HiLink products that are not Huawei-developed and need to be delivered to the frontline through the sales and service sample channel can be inbound without data file. ➤ Special approval: Product data files should be available but cannot be provided. In this case, Goods preparation contact must have clear frontline requirements, and submit a collaboration request form to joint approval of destination country of the Director of the country device business department, country delivery		



		leader, country-level legal affairs department, and HQ functional leadership for samples. Then, the sub-inventory administrator of the sales & service can receive and inbound samples. *The following compliance risk statement must be included in the Problem Details description: Samples without product data files are sent to the sub-inventory of the sales & service sample and sent to the frontline outside China. The following customs clearance compliance risks may exist: (a) The product information (such as the SN) of the sample cannot be automatically integrated in the customs clearance documents, which may not meet the customs declaration/clearance requirements of the destination country. Risks such as the company being fined, sample devices being detained or confiscated, or requiring the frontline customs clearance specialist to supplement relevant product information on site. (b) Samples without product data files may be assembled by the R&D department, they don't meet the import requirements of the destination country without any certification information or product label information, as a result, company was fined and samples are detained or confiscated. (c) The sample without product data files may not have a gift box in normal packaging, or the information on the gift box label is inconsistent with the actual sample. As a result, the customs department considers that there is a suspected smuggling risk. (d) If the above-mentioned customs clearance compliance risks occur, the customs of the destination country may have negative comments on the local subsidiary and related negative impacts The director of the country-level device business department, the country-level logistics director, and country-level legal affairs department shall clearly understand the above-mentioned customs compliance risks. Note: Data files are documents that record data related to product characteristics and manufacturing information according to product or customer requirements. The information includes the IMEI, AKEY, MAC address, SN, production date, and shipment batch, etc.
	Responsible Role	HQ contact person for planning or goods preparation of the corresponding business line
	Participating Role	HQ contact person for planning of the corresponding business line /HQ contact person for goods preparation of the corresponding business line



	Input	Regional sample plan
	Output	Sample inbound
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA
004	Activity Name	Submit a sample application.
	Activity Description	- Before submitting a sample application e-flow, the applicant needs to apply for the permissions to the sample applicant and registrant of the TSMP (apply for the rights of <i>the sales and service sample user</i> in the TSMP system through iAuth system). - In principle, only Huawei regular employees and Smartcom employees facing customers and partners in the MSS domain of the Consumer BG MSS GTM system, marketing system, retail system, service system, and so on can serve as sample applicants and register samples. - Employees in MSS other positions of the Consumer BG other positions must be approved by the related tier-3 department director first. - If the employee of non-Consumer BG MSS employee needs to apply for "the Sales & Service Sample User permission" permission for business development, the employee must submit a collaboration request for approval. (Approved by the applicant's director of tier-3 department and the director of MSS Quality & Operation Dept). - All sales & service sample roles/users must pass the Exam of Consumer BG MSS Sample Management Process before using the TSMP to operate and manage sales and service samples. - The sample applicant selects the corresponding Sample Purpose based on the actual sample use scenario by referring to section 2 <i>Definitions of Sample Type, Use of Sample and Business Scenarios</i> Definitions. - In principle, new applications for GTM expanding/testing B2C samples are not allowed three months after product launch; applications for samples of other types are not allowed after EOM. If there are business requirements, the applicant must obtain the approval of the directors of regional industry line. - When GTM testing sample is selected, if there are special test requirements, select Yes and enter the admission responsible person to locate the test requirements more accurately; if No is selected, it is not needed to enter the admission responsible person. When other sample types are selected, samples of all-purpose



		versions in the GTM sample warehouse 12BP0701, MKT sample warehouse 12BP1201, retail sample warehouse 12BP1301, and service sample warehouse 12BP0801, and B2B sample warehouse 12BP1501 will be directly allocated. ➤ Media evaluation sample applications from regions must be submitted to the director of regional marketing dept for approval. ➤ When applying for seeding samples, shop assistant evaluation samples for the first time, it is required that local legal affairs personnel evaluate external compliance risks and the trust list of sample registrants is approved by the director of the rep office device business department before HQ grants the permission (the HQ sample administrator configures the permission in TSMP and reviews and updates the permission on a quarterly basis). ➤ In principle, warranty service is not provided for sample devices. For seeding samples, shop assistant evaluation samples, portable samples, consumer marketing samples, and co-branding samples required based on business needs, warranty is provided only for models that are locally launched and shipped in batches, and the sample rights are the same as those of devices for sale in the corresponding country. When filling in the TSMP application e-flow, the sample applicant selects Y for the warranty field and enters the region, rep office, and country where the warranty is provided. ➤ Due to product installation features, installation and disassembly rights are granted to large screens and door locks in scenarios where data files are available by default. 4. Other notes: ➤ Refer to the planned remaining quantity of the field in the rep office to check whether business requirements can be satisfied. If the application needs to be submitted for unplanned samples, follow the additional goods preparation process. If products are available for supply, the goods preparation cycle will be increased by 21–45 days in the application process. ➤ For countries that meet PO-based shipment conditions, select the PO-based shipment method. If another shipment method (consignment/self-pickup, etc.) is selected, it must be approved by the country-level legal affairs department.
	Responsible Role	Sample applicant
	Participating Role	Sample applicant/registrant
	Input	Business requirements
	Output	Sample application
	KCP	NA



	Associated Business Rules	NA
	Associated Authority	NA
005	Activity Name	Approval of budget overrun (if involved)
	Activity Description	When the sample application exceeds the budget limit, review the requirement for over-budget of the business domain of the rep office based on the historical shipment data of product series and budget planning data, review the reason for large budget deviation, adjust/add the budget as required, and configure the budget in the TSMP. Note: - If the total budget of the field in the rep office is used up, escalate the requirements to the region for additional budget. For details about the budget and goods preparation plan, see the <i>Budget Planning and Planned Goods Preparation Operation Guide</i>. - Source of budget deduction benchmark price: budget deduction benchmark price maintained by product line finance in the eCharge system.
	Responsible Role	Sample budget specialist
	Participating Role	NA
	Input	Over-budget sample application
	Output	Review comments
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA
006	Activity Name	Approve the application.
	Activity Description	On the basis of the planned data of requirements and the approved data and actual business requirements, review the reasonableness of applications submitted by the rep office. Consider the reuse of samples to reduce wastes and avoid resource idleness. Seeding sample applications shall be approved by the director of the regional device business department or the director of a zone or the vice director (sales). Note: The director of a zone and the vice director (sales) apply only to the China Region (excluding Hong Kong and Macao). Note: In the scenario of consigned delivery and miscellaneous material requisition, the sample applicant needs to submit the e-flow of consigned delivery in the retail transportation e-flow system or the miscellaneous platform for approval. To reduce frontline workload and avoid repeated approval, after the sample application is approved by the frontline. By default, the HQ sample administrator submits and approves the e-flow.



	Responsible Role	Rep office approver
	Participating Role	NA
	Input	Sample application
	Output	Approval comments
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA
007	Activity Name	Goods preparation confirmation
	Activity Description	The goods preparation contact confirms whether goods are prepared in advance. If the inventory is not prepared in advance, ask the sample applicant and regional sample plan maker to review and update the product requirement plan, allocate the inventory, or create new production inventory, and then pick and deliver materials after the goods are prepared.
	Responsible Role	HQ contact person for planning or goods preparation of the corresponding business line
	Participating Role	HQ contact person for goods preparation of the corresponding business line
	Input	Approved sample application
	Output	Inventory confirmation result
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA
008	Activity Name	Pick up and ship goods
	Activity Description	1. The sample administrator, based on the duty division and sample requirement information, checks whether the application e-flow is filled in as required in line with sample management regulations, and organizes the picking and shipment of samples if the e-flow passes the check, or reject the e-flow and inform the sample applicant of the reason for modification. 2. According to different sample picking methods (ERP sample picking, warehouse scheduling, outsourcing factory sample picking, and local sample picking), there are three sample delivery methods: PO-based sample delivery, consigned delivery, and self-pickup. Note: Huawei Vision used only in the China Region can be picked from outsourced factories. ➤ PO-based sample delivery: For countries outside China where there is a formal BOM and there is no special customs clearance issue (for example, different requirements for admission certification, invoice, quantity, packaging, and IMEI), only PO-based sample delivery can be followed. For this method, no



		additional VAT needs to be paid in China. In regions outside China, the VAT is determined based on the write-off method. Physical write-off does not involve additional tax payment. For non-physical write-off, the case needs to be identified based on local tax laws. For specific operations, see the <i>PO-based Sample Delivery Process Outside China</i> as required by the logistics department of the Consumer BG. If another delivery method is selected in countries where PO-based sample delivery is applicable, approval shall be obtained from the country-level legal affairs department. In principle, the destination country must be the same as the country of the sample expense-bearing department. If the destination country is different from the country of the sample expense-bearing department, the CFO of the destination country must be approved and reported to the HQ tax department. ➤ Consigned delivery: For countries that do not meet PO-based sample delivery conditions, consigned delivery can be followed when the quantity, amount, and volume are within the limit of consigned delivery. The tax department should additionally pay VAT in China for such overseas delivery, which should be borne by the benefited rep office. For delivery in China, the VAT should be additionally paid based on the write-off mode: Additional VAT payment is needed for non-physical write-off and compensation write-off, while physical write-off is exempt from additional VAT payment. ➤ Self-pickup: The HQ administrator picks up samples from the warehouse and has the warehouse keeper of the Hardware Engineering Quality & Operations Dept keep them. The sample registrant or entrusted person needs to personally go and pick up the samples. In principle, the physical samples shall be picked up within one month, and the warehouse keeper shall keep the physical samples for no more than three months. The tax department should additionally pay VAT in China for such delivery, which should be borne by the benefited rep office. For self-pickup in China, the VAT should be additionally paid based on the write-off mode: Additional VAT payment is needed for non-physical write-off and compensation write-off, while physical write-off is exempt from additional VAT payment. 3. Shipment management requirements: ➤ According to the requirements of information security departments, flagship devices shall be delivered in wooden boxes. At the time of delivery, remark that wooden box package is required and notify goods handling and transportation
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		personnel of this requirement. ➤ The sample administrator shall strictly follow the <i>Sample Administrator Delivery Checklist</i> to take self-check and then start shipment. ➤ For sample applications that have been reviewed and for which goods preparation has been completed, pick samples from the sample sub-warehouse and start shipment based on the actual requirements. ➤ For samples that require special processing by R&D engineers, communicate with R&D engineers and frontline admission personnel about the requirements, and arrange delivery after R&D engineers complete the special processing. ➤ Describe the IMEI of the actual shipment in the e-flow when submitting the shipment data for confirmation ➤ Sample requirements for specific purposes (including but not limited to seeding samples, media evaluation, shop assistant evaluation) or specific regions (such as EU countries) When submitting the delivery confirmation request, note that the label "only for testing and not for sale" is needed to be pasted to the packing box. ➤ If technical control is required, specify in the e-flow that <i>the sample management APK need to be installed</i> when submitting the shipment data for confirmation. ➤ In the PO shipment scenario, the final destination country must be the same as the buyer country of the internal intercompany transaction contract (contract 006).
	Responsible Role	Sample administrator of the MSS department
	Participating Role	NA
	Input	Sample application
	Output	Confirmation of sample delivery
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA
009	Activity Name	Confirm sample reception.
	Activity Description	1. After receiving the goods, check them against the list in the e-flow. Check whether the quantity of physical goods and IMEI number of flagship products are consistent with those in the e-flow. In the scenario where the goods of several countries are shipped together, distribute physical goods based on the IMEI number in the e-flow. If relevant information is consistent, confirm goods reception on TSMP. 2. If goods reception is not confirmed within 30 days, TSMP will



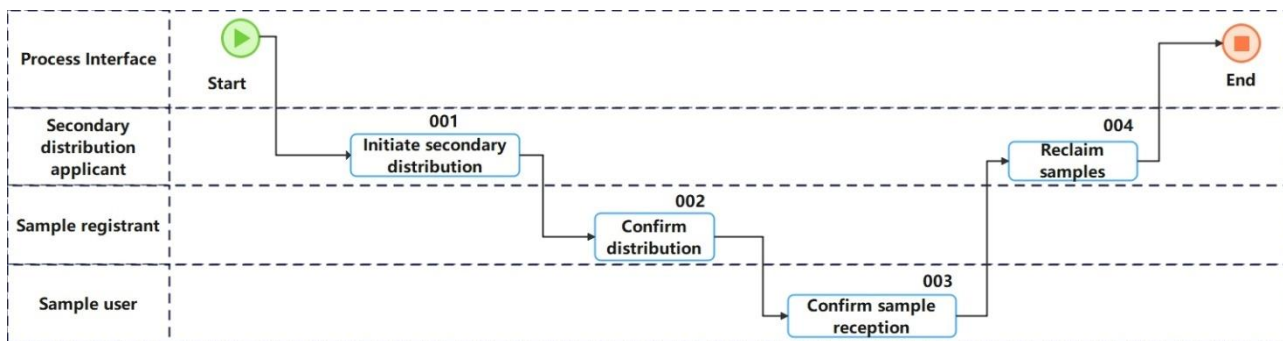
		automatically confirm goods reception. Due to business requirements in the China Region, the automatic confirmation days can be shortened. 3. Samples used in global launch events that are under the charge of HQ marketing personnel: As PO-based sample delivery is adopted, an employee of the goods reception country shall be entrusted as the sample registrant. After the registrant confirms goods reception, HQ marketing personnel shall promptly perform sample transfer to the actual HQ/regional responsible person. 4. The HQ sample registrant and the recipient specified by the registrant serve as the primary owner for physical goods management after sample reception.
	Responsible Role	Sample applicant
	Participating Role	Sample registrant
	Input	Sample reception
	Output	Confirmation of sample reception and sample asset registration
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA

3.2 Sample Use

- The sample device is registered to the customer who uses the sample device, and ensure the CIAG. For outsourcing employee and external customers who do not have the asset registration permission, if required by business, it can be used through secondary distribution records, but still registered by Huawei regular employees or Smartcom employees, and the sample registrant is fully responsible for the asset security, information security, and compliance of the sample.
- Live demo samples applied for on TSMP: Physical sample records are managed in the asset management module of iRetail, and physical write-off is performed on TSMP upon expiration.
- For samples such as seeding samples, shop assistant evaluation samples, and media evaluation samples, registrants shall check whether there is a "not for sale" label on the products or their packing boxes. If no, attach one before using the samples.

3.2.1 Secondary Distribution

If samples need to be distributed to personnel without the asset registration permission after arrival, it is recommended that the sample registrant use the secondary distribution function of TSMP to keep records. The sample registrant remains unchanged during the secondary distribution. The sample registrant, who is fully responsible for sample management, still needs to perform regular stocktaking to ensure the CIAG (Consistency of Inventory Accounts and Goods) and timely write-off.



Secondary
Distribution.eddx

Activity No.	Activity Properties	Content
001	Activity Name	Initiate secondary distribution.
	Activity Description	The sample registrant or regional record administrator submits secondary distribution applications for the samples registered to the sample registrant.
	Responsible Role	Secondary distribution applicant
	Participating Role	Record administrator/Sample registrant
	Input	Business requirements
	Output	Secondary distribution application
	KCP	NA
	Associated Business Rules	NA
002	Associated Authority	NA
	Activity Name	Confirm distribution.
	Activity Description	1. For an application initiated by the record administrator, confirm whether the samples are distributed to employees that have true business requirements. 2. For an application initiated by the sample registrant, skip this activity.
	Responsible Role	Sample registrant
	Participating Role	NA
	Input	Secondary distribution application
	Output	Confirmation comments
	KCP	NA
003	Associated Business Rules	NA
	Associated Authority	NA
003	Activity Name	Confirm sample reception.



	Activity Description	1. A user who has a W3 account confirms sample reception. For confidential samples, an electronic non-disclosure agreement shall be signed (it is available to consult the information security specialist). 2. For a user who does not have a W3 account, the system will automatically confirm goods reception. The sample registrant or the record administrator shall notify the user of sample asset keeping and compensation liabilities. If the sample is a confidential one, it can be distributed to the user only after a non-disclosure agreement is signed (consult the information security specialist for the signing method). 3. A sample user can redistribute samples to others, and so on.
	Responsible Role	Sample user
	Participating Role	NA
	Input	Sample reception
	Output	Confirmation of sample reception
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA
004	Activity Name	Reclaim samples.
	Activity Description	After use of the samples that have been distributed is completed: 1. They can be reclaimed under the Reclaim Record Management module (that is, write-off for sample users), but in-transit samples cannot be reclaimed. 2. To reclaim distributed samples, physical numbers need to be selected; if there is no physical number, directly input the quantity to be reclaimed. 3. If a sample is overdue and needs renewal, the sample registrant can directly submit a renewal e-flow without reclaiming the sample from the user (after the renewal succeeds, the system will automatically generate a new distribution bill number and associate it with the new registration bill of renewal). 4. If a sample needs to be written off, comply with the following principles: If the sample is distributed based on the physical number, select the physical number to directly submit a write-off application e-flow. The system will automatically reclaim the sample.
	Responsible Role	Secondary distribution applicant
	Participating Role	Record administrator/Sample registrant
	Input	Completion of sample use



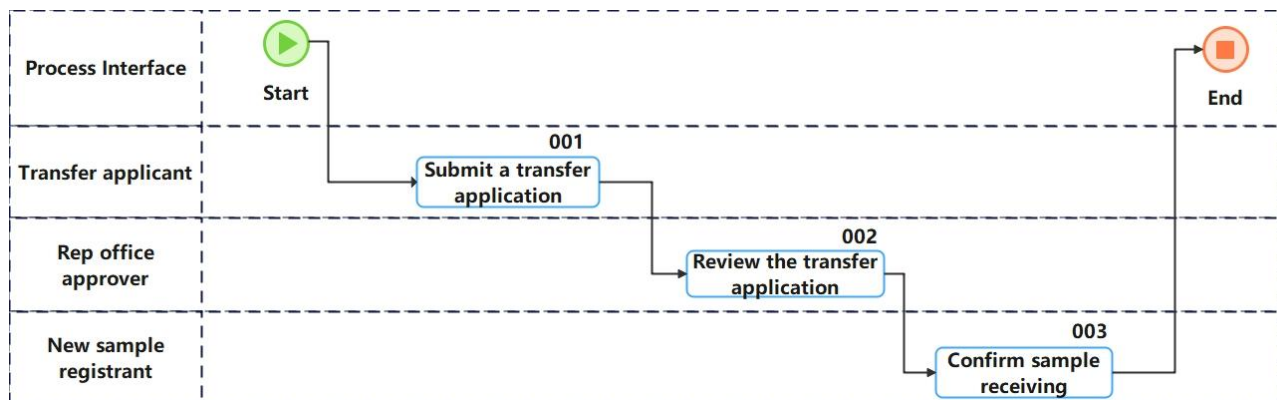
	Output	Sample reclaimed
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA

3.2.2 Transfer

If samples need to be distributed to personnel with the sample registration permission due to business needs, the original sample registrant must submit a sample transfer e-flow within three working days upon receipt of such request, follow up and confirm sample reception in order to transfer the samples to the designated sample user in time. Sample transfers based on business requirements within the MSS system require no approval.

The transfer application shall be reviewed by the rep office or tier-4 department where the new registrant belongs to.

An expired sample whose registrant being an in-service employee cannot be directly transferred. It must be renewed before being transferred to others. This prevents the recipient from being block listed immediately after receiving the expired sample. An expired sample whose registrant being a former employee can be transferred by others.



Transfer.eddx

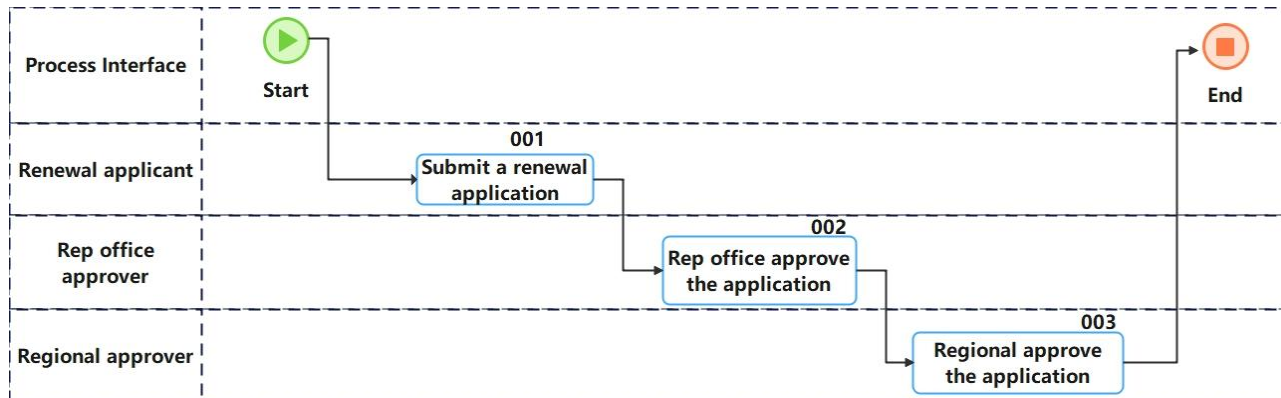
Activity No.	Activity Properties	Content
001	Activity Name	Submit a transfer application.
	Activity Description	- Before initiating a transfer, confirm that the transferee has a true sample requirement to prevent the sample from being used for non-sample purposes. - Select the transferee's business domain. Select the physical number if the sample is a flagship device or is still in its confidentiality period. After a sample is transferred, its management responsibilities are also transferred, and no expense is involved. - The sample registrant is responsible for the entire transfer process and shall follow up until it is closed.



	Responsible Role	Transfer applicant
	Participating Role	Sample registrant/On-behalf transfer applicant
	Input	Business requirements
	Output	Sample transfer e-flow
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA
002	Activity Name	Review the transfer application.
	Activity Description	The transfer application shall be reviewed by the rep office or tier-4 department where the new registrant belongs to.
	Responsible Role	Rep office approver
	Participating Role	Director of the rep office where the new registrant belongs to
	Input	Sample transfer e-flow
	Output	Approval comments
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA
003	Activity Name	Confirm sample receiving.
	Activity Description	- For confidential samples, recipients must sign a non-disclosure agreement (consult the information security specialist for the signing method). - After receiving the samples, check them against the list in the e-flow and confirm sample reception on TSMP after confirming that there is no discrepancy. - The original sample registrant is responsible for the implementation of transfer activities. TSMP sends emails to the original and new sample registrants to notify them of the transfer progress. If the approver does not approve the application or the new sample registrant does not confirm sample receiving within 15 days after application submission, the system will automatically reject the transfer application of the original sample registrant.
	Responsible Role	New sample registrant
	Participating Role	NA
	Input	Sample transfer e-flow
	Output	Sample transfer completed
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA

3.2.3 Renewal

If samples need to be used for a longer period of time due to business needs, the sample registrant shall submit a sample renewal application before the due date. The samples can continue to be used after the renewal application is reviewed by the rep office director and approved by the director of the regional vertical management department or the corresponding HQ tier-3 department. The validity period for each renewal is six months. In principle, samples can be renewed only once. Renewal applications after the first renewal shall be approved by the corresponding tier-3 department director.



Renewal.eddx

Activity No.	Activity Properties	Content
001	Activity Name	Submit a renewal application.
	Activity Description	Write off samples promptly as reminded by the system. If samples need to be used for another period due to business requirements, promptly submit a renewal application.
	Responsible Role	Renewal applicant
	Participating Role	Sample registrant/On-behalf write-off applicant
	Input	Business requirements
	Output	Renewal application
	KCP	NA
	Associated Business Rules	NA
002	Associated Authority	NA
	Activity Name	Rep office approve the application
	Activity Description	Confirm whether the applicant's business requirements are true and reasonable to prevent samples from being used for personal purposes or being appropriated.
	Responsible Role	Rep office approver



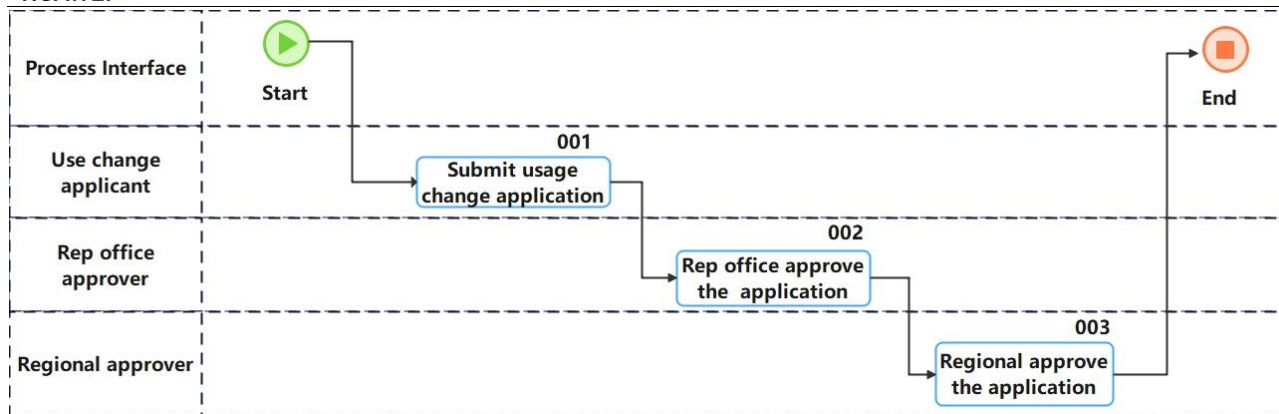
	Participating Role	Rep office director
	Input	Renewal application
	Output	Approval comments
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA
003	Activity Name	Regional approve the application
	Activity Description	Confirm whether the applicant's business requirements are true and reasonable to prevent samples from being used for personal purposes or being appropriated.
	Responsible Role	Regional approver
	Participating Role	Regional director of the corresponding business line or the director of the corresponding HQ tier-3 department
	Input	Renewal application
	Output	Approval comments
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA

3.2.4 Use Change

If a sample meets the new use requirements in terms of its functions and versions (including the upgraded versions), the sample use can be changed according to business requirements. The sample registrant should submit a use change e-flow to the rep office director for review and the director of the relevant regional vertical management department for approval. Applications for seeding samples shall be submitted to the director of the regional device business department for approval.

Notes:

1. The new purpose of use cannot exceed the scope listed in section 2 "Definitions of Sample Type, Use of Sample and Business Scenarios".
2. The sample registrant should check whether the sample management APK has been uninstalled and whether the mobile phone has been upgraded to the commercial version (Note that the warranty policy does not apply to such transferred samples).



Use Change.eddx

Activity No.	Activity Properties	Content
001	Activity Name	Submit usage change application.
	Activity Description	Change the usage of samples based on service requirements and when the functions and version (including the upgrade) of samples meet the requirements of new usage.
	Responsible Role	Use change applicant
	Participating Role	Sample registrant/On-behalf write-off applicant
	Input	Business requirements
	Output	Usage change application
	KCP	NA
	Associated Business Rules	NA
002	Associated Authority	NA
	Activity Name	Rep office approve the application
	Activity Description	Confirm whether the applicant's business requirements are true and reasonable to prevent samples from being used for personal purposes or being appropriated.
	Responsible Role	Rep office approver
	Participating Role	Rep office director
	Input	Usage change application
	Output	Approval comments
	KCP	NA
003	Associated Business Rules	NA
	Associated Authority	NA
003	Activity Name	Regional approve the application



	Activity Description	Confirm whether the applicant's business requirements are true and reasonable to prevent samples from being used for personal purposes or being appropriated.
	Responsible Role	Regional approver
	Participating Role	Regional director of the corresponding business line or the director of the corresponding HQ tier-3 department or the director of the regional device business department.
	Input	Usage change application
	Output	Approval comments
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA

3.2.5 Stocktaking and Management of Physical Samples

- The sample registrant is the first person responsible for sample management, and the director of business/approver takes joint and several management liabilities. The registrant needs to routinely perform stocktaking and feedback the status of individual samples in the TSMP system every quarter, and manage issues found during stocktaking in a timely and closed-loop manner. If the feedback is not provided within the specified time, the stocktaking result is regarded as inventory shortfall.
 - For samples of inventory shortfall caused by reasons other than force majeure (e.g. fire and robbery), the registrant performs sample compensation.
 - For samples out of TSMP, manually create an asset registration record in TSMP for ledger management following the instructions.
 - For idle samples, release multiplex or apply for write-off in time. Improve the operational efficiency of samples.
- For countries with a large number of registered samples, it is recommended that dedicated warehouses be set up at rep offices and managed by dedicated personnel. For countries where conditions permit, samples and retail material warehouses can be managed in a unified manner.
- PCs personnel (Including quality operation/internal control owner/sample administrator) at all levels are responsible for monitoring the stocktaking quality, urging business management improvement, and organizing quarter sampling stocktaking. PCs personnel at all levels shall also organize the status counting and feedback of out of TSMP samples in offices, warehouses, stores, and exhibition halls. The regional sample counting report must be countersigned by the director of the regional quality operation department (director of the Sales Operation Dept in China) and the director of the regional Device Business Dept. The HQ sample counting report must be countersigned by the director of the quality operation department of the tier-3 department and the director of the tier-3 department.
- For samples out of TSMP solution
 - Be able to correspond to the sample devices in the TSMP historical non-physical write-off order and transfer to physical write-off.



- b) Samples cannot be mapped to historical non-physical write-off orders. If samples need to be used as samples, follow the instructions in section 3.4.6 "Special Scenarios Approval " and manually create registrations and append the entries to the TSMP for system ledger management. If the materials need to be transferred to the RTC or handed over to the delivery manager of the representative office for scrapping, refer to the Management Regulations on Service Off-Language Materials and then warehouse the materials or transfer the materials to the supplier for scrapping.

3.2.6 Manual registration for samples out of TSMP system

In scenarios such as self-purchase samples by employees, the rep office sample administrator can record samples purchased externally into TSMP for registration after sample registrant specified approves it. For related operation instructions, see the *Operation Guidance on Manual registration for samples out of TSMP system*.

3.2.7 Technical Control

Samples are company assets and can be used only for business purposes instead of personal purposes. Sample registrants shall apply for and use samples for specific purposes accordingly. To standardize the use of samples, some samples are pre-installed with the sample management APK and the supervisor of the registrant who is suspected of using samples for a personal purpose shall be informed and check whether this purpose is reasonable. The pre-installation rules are as follows:

Dimension	Scenario	APK Pre-installation
Product type	Phones and tablets of all models	Yes
	Other products	No
Purpose of use	GTM testing samples, seeding samples, shop assistant evaluation samples, media evaluation samples, portable samples, retail live demo samples (Note: Install the demo APK for the retail demo), consumer marketing sample, and co-branding sample	No
	Other purposes	Yes
Region	Samples used in the West European Region and CEE & Nordic European Region, Australia, Canada) and country A, including samples applied for by the HQ but delivered to these regions	No
	Other regions	Yes

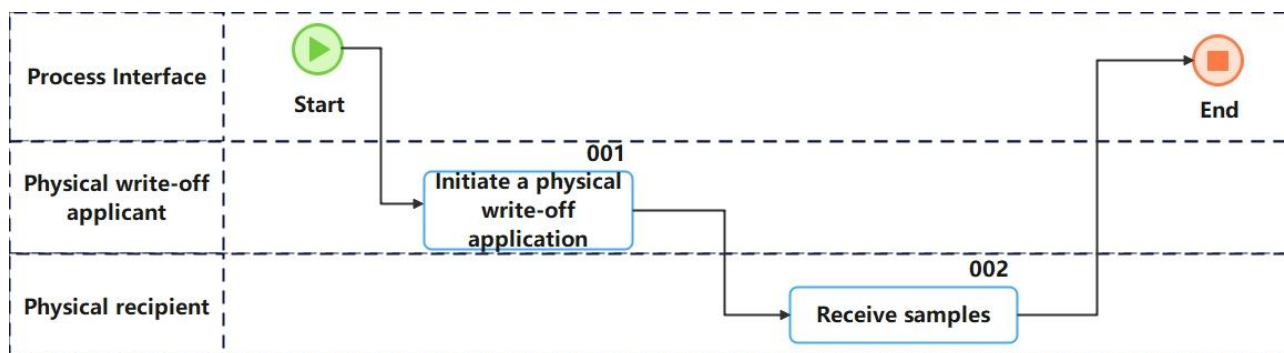
The sample management software cannot be uninstalled without permission, and cannot be deleted via ROM flashing and upgrade. In special cases, if the software needs to be uninstalled, the sample registrant should submit a sample control unlocking application in TSMP. After the application is approved by the directors of regional functional departments, the HQ unlocks the sample in the background of TSMP. For samples that have been applied for unlocking, the approver shall also undertake joint liability for violations during the use of samples that are unlocked upon approval.

For details about how to unlock ADU samples (APK Demo Unit), refer to the Retail Sample Management Regulations.

3.3 Sample Write-off Process

1. In principle, physical write-off shall be performed for all samples. In the event of non-physical write-off, the sample registrant shall provide the corresponding proof document. The approver shall strictly review the document and ensure authenticity and reasonableness of the non-physical write-off application.
2. Write-off rules for HiLink samples:
Basic idea: The HQ selects top smart selection samples by quantity (> 100 pcs) and price (> CNY300). The R&D smart selection product team maintains related SOB information in ERP to support physical write-off and miscellaneous inbound in ERP. For other smart selection samples with a small number or low value, reuse them locally or physical sample destruction as far as possible.
 - For overseas, some countries apply for Physical Write-off based on the abnormal service code for other smart selection with a small number of low-value samples due to local environmental protection law.
 - For other HiLink samples with a small number of low-value samples in the China region, try to apply for non-physical write-off of samples (test/evaluation), or reuse them locally (individual purchase and write-off/transfer to administrative asset), or physical sample destruction.
3. Tax notes:
 - Non-physical write-off of samples must be deemed as sales or input VAT must not be deducted but must be transferred out (determined based on the specific write-off type and local tax laws). Taxes will be added to the compensation write-off of samples and non-physical write-off of samples. The cost incurred by extra taxes will be borne by the beneficiary department.
 - When the write-off type or non-physical write-off/compensation write-off type of samples in China changes, the sample administrator shall notify the CBG tax contact person within three working days after the change occurs. The tax department determines the tax processing method and configures tax rules.
 - When the tax determination flag of domestic samples needs to be changed due to business or regulatory changes, the tax manager shall send the updated sample tax determination rule configuration table to the sample administrator. The sample administrator shall configure the tax determination flag in the TSMP system within two working days after receiving the latest sample tax determination rule table from the tax manager.

3.3.1 Physical Write-off




Physical
Write-off.eddx



Activity No.	Activity Properties	Content
001	Activity Name	Initiate a physical write-off application.
	Activity Description	Promptly submit a physical write-off application according to the system's sample use period reminder if there is no need to continue to use samples and personnel of other departments in the region also do not need the samples. - For confidential samples, physical write-off can be performed only after the confidentiality period ends to avoid information security incidents. - Samples shall be restored to factory settings before physical write-off to clear personal data. If a sample is distributed to a third-party user, the user is also required to restore the sample to factory settings to clear personal data. - For physical write-off of products (phones: Mate series, P series, Porsche design phones, and foldable phones; PCs: X series, digital series, and 2-in-1 series; tablets: MatePad Pro series; smart watches: Ultimate series), the physical number must be verified. For physical write-off of other samples, only the sub-model and quantity need to be verified in principle. Each region can determine whether to verify the physical number based on the actual situation. Note: For PCs, tablets, and smart watches aforementioned, this requirement takes effect from March 1, 2024. - Refer to the attachment <i>Sample Returning and Receiving Criteria for Physical Write-off</i>. For other scenarios, upload relevant materials and go through the Special scenarios that require archiving approval according to the refer to the requirements of 3.4.6 "Special Scenario Approval" - Before sending samples to the RTC warehouse or Rep office service manager, the applicant must ensure that the write-off e-flow has been submitted and approved by the director (if involved). The write-off application form must be printed and sent together with the samples for check during sample receiving or to the Rep office service manager for verification. - The sample delivery expenses shall be borne by the department of the sample registrant/on-behalf write-off applicant.
	Responsible Role	Physical write-off applicant
	Participating Role	Sample registrant/On-behalf write-off applicant
	Input	Sample requirements fulfilled
	Output	Physical write-off application
	KCP	NA
	Associated Business Rules	NA

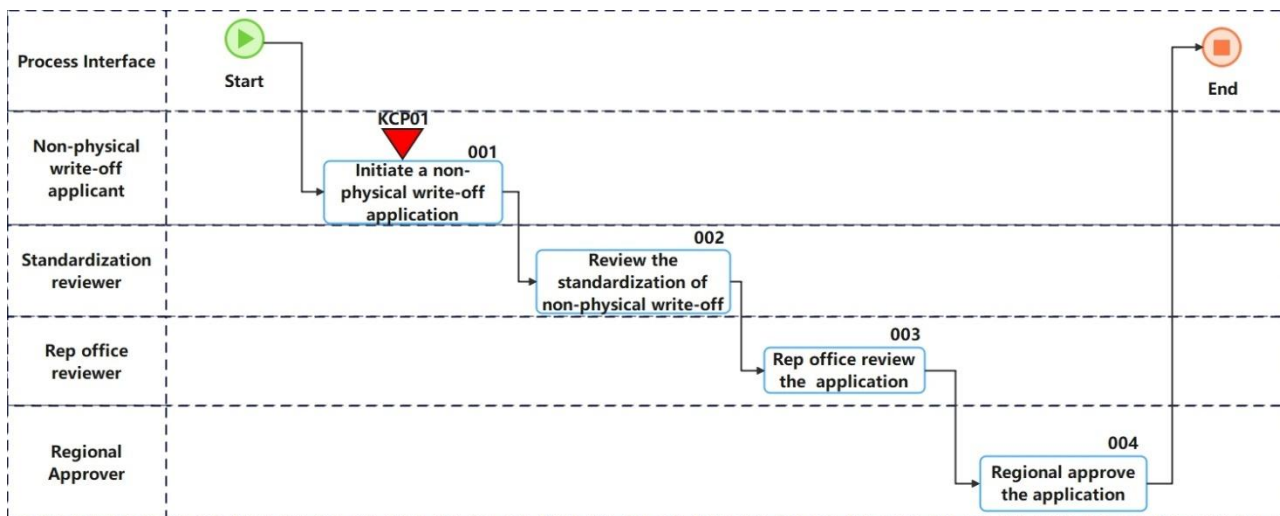


002	Associated Authority	NA
	Activity Name	Receive samples.
	Activity Description	1. Samples directly returned by a registrant to an RTC: The RTC inspector confirms that the sub-model/physical number of products aforementioned and quantity of the received physical goods are consistent with those in the write-off form, and then receives the goods in CSPM, or reject the application in CSPM. 2. Samples returned by a registrant to a service manager who will then return the samples to an RTC: The service manager confirms that the sub-models or physical numbers of products aforementioned and quantity of the received physical goods are consistent with those in the write-off form, the service manager approves the application in TSMP. Or the service manager rejects the physical write-off application in TSMP and asks the write-off owner to provide the physical for CIAG or modify the write-off e-flow. Then the Rep office service manager returns the received samples to the RTC. The RTC inspector checks whether the sub-models of the received samples/physical numbers of products aforementioned, and the quantity are consistent with those in the write-off application form. If so, the RTC inspector accepts the samples and performs inbound in CSPM; if not, the RTC inspector rejects the application in CSPM. 3. The RTC inspector or representative office service manager inspects samples according to the attachment <i>Test Guide to the RTC End of the TSMP Write-off Sample</i>. If the samples that are inconsistent or do not meet requirements, the service manager or RTC inspector rejects the application to the applicant, or ask the applicant to submit another application or re-send the correct machine corresponding to the write-off form and the service manager or RTC inspector return the samples based on the application as needed (transportation costs incurred should be borne by the department of the sample registrant or on-behalf write-off applicant). After the offsetting application is submitted, the rep office service manager accepts and returns the application to RTC. If the rep office service manager does not handle the application within 30 days, the application will be rejected automatically. In the scenario of direct shipment from the applicant to RTC, if the applicant does not confirm shipment within 14 days, the application is automatically rejected. If an exception is not handled within five days, the RTC onsite administrator should transfer the issue to the registrant's supervisor/registrant for handling. If a write-off exception is reported for more than 90 days and the registrant fails to handle or close it, the RTC has the right to treat the samples as a miscellaneous inbound without accounts. 4. The SLA time for the RTC to perform sample receiving and inbound



		or for the Rep office service manager to collect the samples and return them to the RTC is 30 days. The service spare parts domain is fully authorized to perform the reclaim and subsequent handling of MSS samples. The original business department does not need to participate in decision making.
	Responsible Role	Physical recipient
	Participating Role	Service manager/RTC inspector
	Input	Physical write-off application and physical samples
	Output	Consistency of received samples with e-flow information: inspection result feedback, completion of physical write-off, and generation of corresponding inventory records in CSPM Inconsistency of received samples with e-flow information: e-flow rejection
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA

3.3.2 Non-physical Write-off



Non-physical
Write-off.eddx

Activity No.	Activity Properties	Content
001	Activity Name	Initiate a non-physical write-off application
	Activity Description	1. For low-value samples (mainly sample of non-integrated product



		the benchmark price of no more than CNY300.), in case of an application for samples totaling no more than CNY10,000 and at a unit price of no more than CNY300, the system will automatically trigger the non-physical write-off process after the sample registrant confirms sample reception. ➤ If the sample registrant can dispose of the physical samples (such as seeding samples, customer testing samples, or samples physically destroyed locally), approve non-physical write-off of the low-value sample in the TSMP to-do list. In this case, the process will be automatically closed and, in this case, it is unnecessary to provide support materials. ➤ If non-physical write-off cannot be performed (due to local environment protection requirements or samples returned by customers), the sample registrant should turn to the physical write-off process and deliver physical samples to the service RTC warehouse. ➤ For low-value samples that are not automatically triggered for non-physical write-off, you can also manually submit a non-physical write-off application. Set Write-off Type to Low-value Materials Write-off and Write-off Reason remarks Low-value Materials Write-off. In principle, only the unit price proof materials (email for confirming the benchmark price deduction or materials that can prove it is the initial price in China of the product with the highest configuration in VMALL) need to be provided for the write-off of low-value materials. Note: Consumer marketing sample do not automatically trigger write-off of low-value materials. 2. The sample registrant shall select the corresponding non-physical write-off type based on the actual purpose of use. Details are as follows: ➤ GTM testing sample: network entry test, customer-paid testing sample, third-party compensation, physical sample destruction, samples stolen, force majeure, samples transferred to fixed assets, compensation from local employees outside the Chinese mainland, low-value materials write-off, and special scenario filing. ➤ Seeding sample, shop assistant evaluation sample, media evaluation sample, portable sample, consumer marketing sample, and co-branding sample: user evaluation, third-party compensation, physical sample destruction, samples stolen, force majeure, samples transferred to fixed assets, compensation from local employees outside the Chinese
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		mainland, low-value materials write-off, FF rewards (only portable samples can be used) , consumer marketing (only consumer marketing sample can be used) , co-branding (only co-branding sample can be used)and special scenario filing. ➤ Other samples: third-party compensation, physical sample destruction, samples stolen, force majeure, samples transferred to fixed assets, compensation from local employees outside the Chinese mainland, low-value materials write-off, and special scenario filing. 3. Upload proof documents for non-physical write-off as follows: (If documents cannot be uploaded to TSMP due to GDPR or other reasons, locally designate a directory for archiving and specify the directory in the write-off e-flow. The documents should be provided in time when the verification is required. If there are no special requirements in local laws, the document will be deleted every two years.) i. In scenarios where non-physical write-off is allowed, the basic material requirements are as follows (which can be added by regions if required): (1) MKT media evaluation samples/ GTM testing samples (Select either of the following write-off materials.): Provide (a) the sample evaluation commitment letter (latest version adapted by the region) confirmed by the user, or (b) other materials that can prove user experience or purpose authenticity (including screenshots of the user's Weibo nickname being tagged by the specific device model, photos and videos posted by evaluators, and screenshots of user signing for the parcel or waybill number) and the countersigned sample special write-off description (for the template, refer to the attachment). (2) Seeding samples: To write off seeding samples outside China Region (including Hong Kong and Macao), provide the sample evaluation commitment letter confirmed by the user. If it cannot be provided, obtain approval from the country-level legal affairs team before samples are sent and upload the proof of approval for write-off. To write off seeding samples in China Region (excluding Hong Kong and Macao), provide the countersigned sample special write-off description (for the template, refer to the attachment). (3) Consumer marketing samples: (a) Proofs of marketing
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		activities (such as posters and onsite photos of the activities) (b) Sample receiving proofs (such as sample receiving form, express delivery records, and publicized list) or sample special write-off description signed by the immediate supervisor. (a and b are both mandatory.) (4) Co-branding samples: (a) Co-branding agreement (b) Records of sample receiving by co-branding partners (c) Benefits list acceptance is not required for device investment worth less than CNY300,000 (calculated based on the RRP for first sales), and the risks are accepted. If the amount is CNY300,000 or more, provide acceptance materials to prove that Huawei's benefits are realized according to the benefits list and acceptance method specified in the cooperation agreement. (a and b are mandatory, while the materials specified in c should be provided if the condition is met.) (5) Shop assistant evaluation samples and portable samples: For details, see the Retail Sample Management Regulations. ii. The following scenarios, provide the countersigned sample special write-off description (for the template, refer to the attachment) and the following materials (1) Physical sample destruction (field scrapping): In regions where there are no service RTC warehouse or in other special circumstances where samples cannot be returned to the service return RTC warehouse through physical write-off, the sample registrant can scrap samples in this way (note: laws and regulations of the country where samples are scrapped shall be considered). At least two people shall be present during scrapping. The sample registrant or on-behalf (the entrustment email from the sample registrant must be provided and uploaded to TSMP during write-off) shall implement the scrapping. During the scrapping, photos or video recording must be taken on site and can clearly show the status of the samples before and after the scrapping. Physical sample destruction requires to destroy the main circuit board, LCD screen, and key physical components of the sample. During the scrapping, ensure personal safety and prevent injury. After the scrapping, all executors shall sign on the special sample write-off description. The scanned copy
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		of the scrapping list shall be uploaded to TSMP along with the scrapping photos or video recording (2) Samples paid by the customer are used for testing and verification because the products do not pass the EDCP and do not meet the delivery standards of commercial contracts. Samples are delivered first, and then written off through commercial POs. To write-off this type of samples, provide and upload proofs relating to customers' payment to TSMP, such as proof of payment, proof for the reasonableness of prices (e.g. commercial PO screenshots, materials confirmed by finance personnel/GTM market representatives), and the proof of finance personnel's confirming that the payment can be received. (3) Third-party compensation: Refers to the scenario where the goods cannot be returned because they are lost, damaged, stolen, or robbed during transportation. To write-off this type of samples, provide and upload proofs relating to Third-party payment proofs to TSMP, such as proof of payment, proof for the reasonableness of prices (e.g. commercial PO screenshots, VMALL screenshots, and materials confirmed by finance personnel/GTM market representatives), and the proof of finance personnel's confirming that the payment can be received. Third-party compensation amount: By default, the market price of a product is the local street price, and the market price of a product that is not marketed is the local market price of the previous-generation product. In B2B scenarios, the compensation is based on the line list, and finance personnel determine the compensation discount based on the commercial discount. (4) Samples stolen/Force majeure: Samples are stolen from Huawei's premises or lost or damaged due to force majeure (such as robbery, disaster, or war). Related materials such as alarm reporting and filing receipt and the special sample write-off description must be provided. (5) Transfer to fixed assets (for office use, shop operation, IT test): Samples such as PCs/desktop computers, large screens, liquid crystal display, Smart Selection can be transferred to the office shop operation and IT test as required after the business is completed. The
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		approval email from the asset administrator confirming the transfer to office assets (including fixed asset codes and physical numbers) or AMT system registration screenshot (including fixed asset codes and physical numbers) are provided for non-physical write-off. The special sample write-off description is not mandatory. (6) Compensation from local employees outside the Chinese mainland: apply for a company's collection account and then pay compensate through the payment, so the compensation amount screenshot, proof of payment, and scanned copy of the Sample Asset Compensation Application Form signed by the involved sample registrant shall be uploaded. The special sample write-off description is not mandatory. (7) Special scenarios that require archiving For other scenarios, upload relevant materials and go through the approval and filing process according to the the refer to the requirements of 3.4.6 " Special Scenario Approval". The special sample write-off description is not mandatory. 4. If samples are returned or individual compensation is needed after the preceding non-physical write-off is performed, the applicant shall reactivate the write-off application in TSMP and submit a physical write-off or individual compensation application again. *This activity is KCP01 of this process: ➤ Reasonableness of non-physical write-off: A sample must be within the scope where non-physical write-off is allowed. Accuracy of the non-physical write-off type: The Non-physical Write-off Type selected in the e-flow must be consistent with the actual business scenario specified in write-off proof materials. ➤ Completeness and standardization of write-off proof materials: Write-off proof documents must be complete in content and must be consistent with what is specified in the e-flow in terms of the sub-model and quantity of samples involved, the physical numbers of write-off proof materials for the flagship products must be consistent with those specified in e-flows, and the physical numbers (if any) of write-off proof materials for no-flagship products must be consistent with those specified in e-flows. If electronic or on-behalf signatures are present in the write-off materials, additional proof (such as emails) must be provided.
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		For details, see the KCP Compliance Testing Plan of the Device BG MSS Sample Process.
	Responsible Role	Non-physical write-off applicant
	Participating Role	Sample registrant/On-behalf write-off applicant
	Input	Business requirements
	Output	Non-physical write-off application
	KCP	Yes
	Associated Business Rules	NA
	Associated Authority	NA
002	Activity Name	Review the standardization of non-physical write-off
	Activity Description	Check whether the non-physical write-off application and related support materials are standard.
	Responsible Role	Standardization reviewer
	Participating Role	BC/PC, or designated personnel of the rep office/region
	Input	Non-physical write-off application and related attachments
	Output	Review comments
	KCP	NA
	Associated Business Rules	NA
003	Activity Name	Rep office review the application
	Activity Description	Review whether the application is authentic and reasonable and provide review comments.
	Responsible Role	Rep office reviewer
	Participating Role	Director of the rep office or the corresponding tier-4 department
	Input	Non-physical write-off application
	Output	Rep office review comments
	KCP	NA
	Associated Business Rules	NA
004	Activity Name	Regional approve the application
	Activity Description	Review whether the write-off is authentic and reasonable and provide approval comments.
	Responsible Role	Regional Approver
	Participating Role	Director of the regional business line or the corresponding tier-3 department or the vice director (sales) Notes: 1. The vice director (sales) applies only to the China Region (excluding Hong Kong and Macao).



		2. If the rep office reviewer and regional approver are the same person, the review and approval can be combined.
	Input	Non-physical write-off application and rep office review comments
	Output	Approval comments
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA

3.3.3 Compensation Write-off

If the sample is stolen, lost, or damaged due to personal reason, the sample registrant should take the initiative to eliminate the sample registration through the compensation write-off e-flow. The price is aligned with the product line and is maintained by the Pricing Center of the product line. After the compensation is completed, the registered sample is eliminated.

1. For employees who are paid in the territory of China (including Chinese expatriate employees are paid by China): Submit the compensation write-off e-flow according to the process requirements, and then the Payment is deducted by scanning the QR code. The official launch date is April 1, 2025. Note: Before the QR code scanning payment goes live, the compensation deduction method is still retained.

2. For local employees outside the Chinese mainland (including Chinese expatriate employees are paid by local):

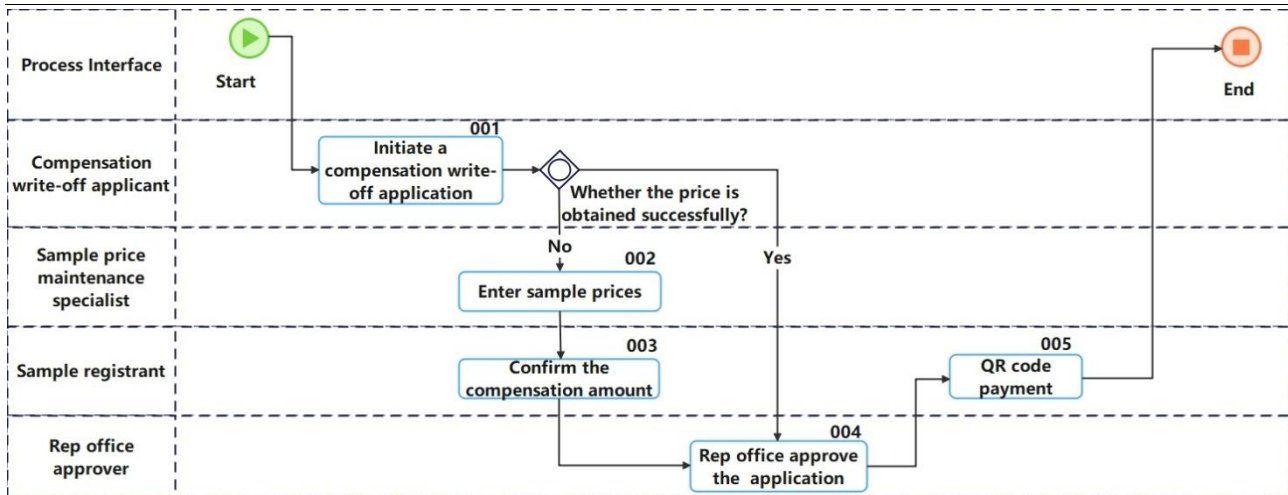
- (1) The rep office adapts the compensation solution according to local laws and regulations.
- (2) The sample registrant initiates a non-physical write-off e-flow for compensation from local employees outside the Chinese mainland scenarios, refer to the following method for offline payment indemnity:

Notes:

- Huawei accounts are classified information, which needs to be obtained and cannot be disclosed to others.
- Local legal affairs/business need to review and evaluate the compensation scenarios and restrictions for local employees.

3. Compensation write-off applies only to scenarios where samples are stolen, lost, uncollectible, or damaged due to improper storage. Sample is prohibited to use for personal purposes.

4. Compensation write-off is irreversible. If samples are recovered after compensation write-off, they need to be manually recorded in the TSMP for management.



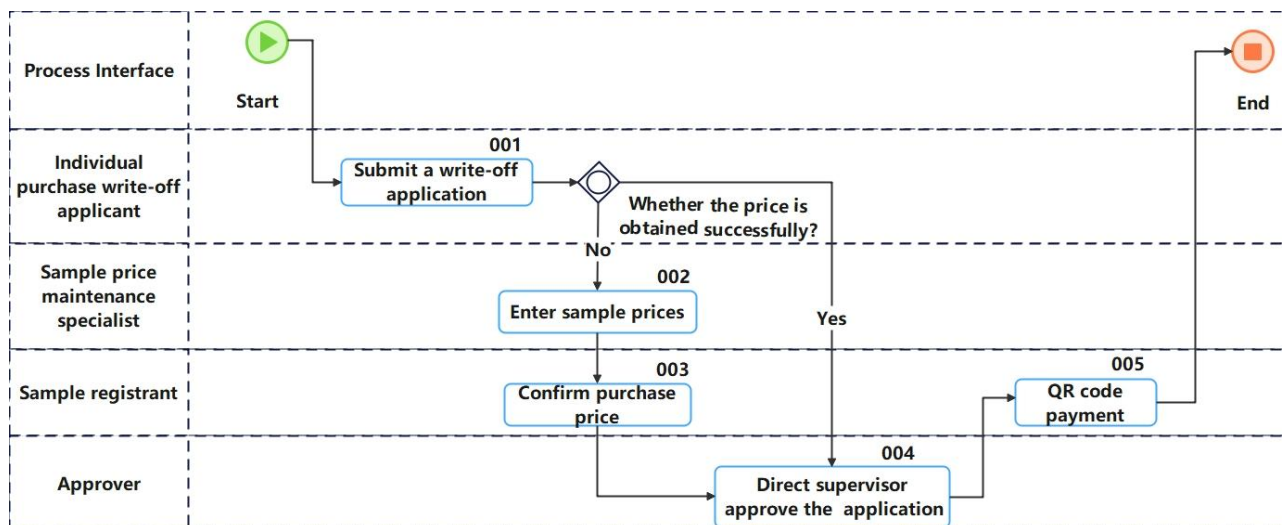
Compensation
Write-off.eddx

Activity No.	Activity Properties	Content
001	Activity Name	Initiate a compensation write-off application
	Activity Description	The signed Sample Asset Compensation Application Form containing the compensation amount will be submitted when Activity 003 is triggered).
	Responsible Role	Compensation write-off applicant
	Participating Role	Sample registrant/On-behalf write-off applicant
	Input	Samples are lost or damaged.
	Output	Compensation write-off application
	KCP	NA
	Associated Business Rules	NA
002	Associated Authority	NA
	Activity Name	Enter sample prices.
	Activity Description	After the compensation offset application is submitted, the system automatically obtains the price. The price is aligned with the product line. If the information fails to be obtained, the commercial manager of the pricing center manually enters the information by model. Note: If currency conversion between CNY and USD is needed, use the recording rate published on W3 in the current month.
	Responsible Role	Sample price maintenance specialist
	Participating Role	The Execution Representative of SPDT
	Input	Compensation write-off application
	Output	Sample prices
	KCP	NA



	Associated Business Rules	NA
	Associated Authority	NA
003	Activity Name	Confirm the compensation amount.
	Activity Description	According to the compensation price, Sample registrant upload a scanned copy of the Consumer BG Sample Asset Compensation Application Form that is signed by the registrant to TSMP to confirm the compensation amount.
	Responsible Role	Sample registrant
	Participating Role	NA
	Input	Compensation application
	Output	Compensation write-off application
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA
004	Activity Name	Rep office approve the application
	Activity Description	Review whether the compensation scheme is true and reasonable and provide approval comments.
	Responsible Role	Rep office approver
	Participating Role	Director of the rep office
	Input	Compensation write-off application
	Output	Approval comments
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA
005	Activity Name	QR code payment
	Activity Description	The TSMP connects to the QR code scanning for payment. The payment result is returned, indicating that the payment is successful. The write-off e-flow is closed, and the TSMP account registration is eliminated.
	Responsible Role	Sample registrant
	Participating Role	NA
	Input	Payment application
	Output	Payment result
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA

3.3.4 Individual Purchase Write-off



Individual Purchase Write-off

Activity No.	Activity Properties	Content
001	Activity Name	Submit a write-off application
	Activity Description	If a sample whose registration period is expired (the period varies by business scenario) will no longer be used for business purposes, employees can apply for purchase. The specific write-off rules are as follows: ➤ Target regions/departments: Huawei regular employees and Smartcom employees, whose salaries are issued in China, in China Region departments (excluding Hong Kong and Macao) and MSS departments at HQ ➤ Principles: When to purchase: 1 month before a sample's registration period expires How many: ≤ 1 sample (per person/year/product series) How much: The purchase prices should be aligned with the indemnity prices for samples on the product line. Note: - Product series includes but not is limited to P series, Mate series, nova series, MateBook D series, and MateBook X series. - Individual Purchase Write-of follows "what you see is what you



		get", knows and agrees to accept the possible quality defects and restrictions on use, and does not provide any maintenance service or after-sales support after purchase and write-off. 3. After submitting individual purchase write-off application, sample registrant can apply to unlock or uninstall the sample management software, by providing the screenshot of deduction and sample IMEI number in the e-flow. Note: Some sample management software preinstalled with the system cannot be unlocked or uninstalled remotely.
	Responsible Role	Individual purchase write-off applicant
	Participating Role	Sample registrant or specified personnel
	Input	Sample registration information
	Output	Individual purchase application
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA
002	Activity Name	Enter sample prices
	Activity Description	After the individual purchase write-off application is submitted, the system automatically obtains the price. The price is aligned with the product line. If the information fails to be obtained, the commercial manager of the pricing center manually enters the information by model. Note: If currency conversion between CNY and USD is needed, use the recording rate published on W3 in the current month.
	Responsible Role	Sample price maintenance specialist
	Participating Role	The Execution Representative of SPDT
	Input	Individual purchase application
	Output	Sample prices
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA
003	Activity Name	Confirm purchase price
	Activity Description	The Sample registrant resubmits the personal purchase write-off application based on the purchase price.
	Responsible Role	Sample registrant
	Participating Role	NA
	Input	Sample prices
	Output	Individual purchase application
	KCP	NA



	Associated Business Rules	NA
	Associated Authority	NA
004	Activity Name	Direct supervisor approve the application
	Activity Description	Review the rationality of the submitted application based on the product GTM control pace and actual sample requirements, and provide approval conclusion.
	Responsible Role	Direct supervisor
	Participating Role	NA
	Input	Individual purchase application
	Output	Approval conclusion
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA
005	Activity Name	QR code payment
	Activity Description	The TSMP connects to the QR code scanning for payment. The payment result is returned, indicating that the payment is successful. The write-off e-flow is closed, and the TSMP account registration is eliminated.
	Responsible Role	Sample registrant
	Participating Role	NA
	Input	Payment application
	Output	Payment result
	KCP	NA
	Associated Business Rules	NA
	Associated Authority	NA

Virtual order operation for individual Purchase write-off

Background: For sales and service samples, the individual purchase write-off scenario, finance requires revenue recognition to ensure the accuracy of financial reports. To that end, a virtual order needs to be created for the sample of individual Purchase write-off. The related operation guide is as follows:

- MSS quality operations personnel regularly provide the list of individual Purchase write-off, and submit a collaboration request form of virtual order to the Order Mgmt Dept and the inbound application form of individual Purchase write-off on the miscellaneous platform.
- The miscellaneous platform automatically misc-in virtual inventory for individual Purchase write-off
- For virtual order, the Order Mgmt Dept supports virtual shipment to ensure that the orders are closed in time.



3.4 Management of Samples

3.4.1 Management of Expired Samples That Are Not Written Off

1. Definitions of expired samples:

- Samples that have not been written off or renewed after the registration period is exceeded.
- If the renewal e-flow is submitted to apply for extension due to business needs, if the samples are not written off or renewed after the extended period expires, the samples are deemed expired.

2. TSMP starts to send an application number information notification every week to remind the sample registrant of the approaching expiration one month before the due date. If any sample is overdue for one month (or longer), the sample registrant will be added to the blacklist so that they cannot asset registration.

3. If any sample is overdue for three months (or longer), the sample shall be deemed lost. Every month, MSS quality operations personnel shall calculate the value (benchmark price) of samples overdue for more than three months and record as capital loss, and the violations shall be graded based on the Criteria for Accountability and Grading for Business Violations in the Consumer Business CRM Process. Report the regional Device Business Dept to initiate business accountability, and the business director/ the approver shall also undertake joint liability. Sample registrants still need to perform write-off even if the accountability process is followed

3.4.2 Sample Management Upon Staff Exit or Position Transfer

When a sample registrant proposes an exit or position transfer request, the sample registrant shall complete write-off of all samples before the deadline of attendance or transfer samples to the person to whom the work is handed over.

- Employees who are about to exit: TSMP is interconnected with the exit management system. If an employee who is about to leave has registered samples, TSMP will send reminders to the employee, immediate supervisor specified in the exit e-flow and sample administrator in the HQ. The HQ sample administrator approval node has been added to the exit e-flow to confirm the situation of sample registration. For employees with samples not deregistered, the HR Dept may not go through the exit settlement or may deduct the corresponding amount during exit settlement depending on the situation.
- Employees to be transferred: TSMP is interconnected with Huawei's global employee transfer e-flow system. If an employee to be transferred to other positions has registered samples, TSMP will send reminders to the employee, immediate supervisor specified in the transfer e-flow and HQ sample administrator. The transfer e-flow approver shall reject the transfer e-flow if the cleaning up of employee's registered samples is not finished.
- If samples that are registered by resigned or transferred employees cannot be written off and have not been transferred to their successors, the business director/approver before the asset owner resigns/transfers is responsible for cleaning up samples.

3.4.3 Management of Sample Reconciliation

To control management risks caused by samples returned by partners (GTM test samples and marketing media evaluation), rep office PCs (Including quality operation/internal control owner/sample administrator) Conduct sample reconciliation with partners every semi-annual.

- Reconciliation of GTM test samples



1. Reconciliation object: partners (test organizations and carriers). The list of partners is determined by the director of the rep office and the director of the regional GTM industry line. The regional PC summarizes the list and reports it to the MSS Quality Operation Dept. The partner list is updated semi-annually.

2. Reconciliation method:

(1) The official mail owner of the representative office distributes the sample return information to the representative office PC and copies it to the business director. The rep office PC summarizes the model and quantity of returned samples.

(2) The rep office PC contacts the partner based on the list of partners that can be reconciled, emails, or phone calls, and asks the partner to provide feedback on the model and quantity of returned samples. The rep office PC can invite the business assistance to contact partners.

(3) The rep office PC reconciles the returned sample list with the registration/offset status in the TSMP system based on the returned sample list in (1) and (2).

(4) Analyze, track, and close reconciliation variances.

3. Reconciliation result: The reconciliation result is approved by the director of the representative office. The regional PC summarizes the result and sends it to the MSS Quality Operation Dept.

➤ Reconciliation of MKT Media Evaluation Samples

1. Reconciliation object: partners (PR agency and KOL agency). The list of partners is approved by the director of the rep office and the director of the regional marketing industry line. The regional PC summarizes the list and reports it to the MSS Quality Operation Dept. The partner list is updated semi-annually.

2. Reconciliation method:

(1) The official mail owner of the representative office distributes the sample return information to the representative office PC and copies the information to the business director. The rep office PC summarizes the model and quantity of returned samples.

(2) The rep office PC contacts the partner by email or face-to-face to obtain the sample management records sent and received by the partner. The rep office PC can invite the purchasing manager and business assistance to contact partners.

(3) The rep office PC reconciles the returned sample list with the registration/offset status in the TSMP system based on the returned sample list in (1) and (2).

(4) Analyze, track, and close reconciliation variances.

3. Reconciliation result: The reconciliation result is approved by the director of the representative office. The regional PC summarizes the result and sends it to the MSS Quality Operation Dept.

3.4.4 User Privacy Protection and Cyber Security Requirements

After scanned copies are uploaded, paper documents shall be properly kept (such as in the security cabinet) and regularly destroyed by the sample registrant. The retention period shall comply with local laws. The requirements for using samples are as follows:

- For samples in the trial production phase, before providing such a sample for external users, the sample must be upgraded to a formal commercial version and unlocked the sample management APK.



- A sample may contain personal data (such as contacts, call history, photos, and SMS messages) after being used by a user. Before it is returned, the user must be asked to restore the sample to factory settings to erase personal data.

3.4.5 Sample Violation Handling

The sample registrant is the primary owner for sample management and is responsible for the authenticity, rationality, and process compliance of the sample business. The business director/approver shall assume joint and several management responsibilities. Sample application, approval, use, and write-off must comply with relevant corporate management regulations, such as *Information Security Violation Grading and Accountability Standards*, *Information Security Management Regulations for MSS High-density Product Projects*, and *Consumer Business CRM Process Violation Rating Standards*. In case of violation, punishment shall be imposed according to corresponding regulations.

3.4.6 Special Scenario Approval

In the sample management process, special scenarios that deviate from the sample management process document shall be reported and executed according to the following approval path.

Special Scenario	Detailed Description	Approval Path
Sample Application	Apply for samples through out of TSMP pipelines. (For details, see section 2 "Definitions of Sample Type, Use of Sample and Business Scenarios".)	Regional sample: rep office director -> regional quality operation director (Director of the Sales Operation Dept in China) -> regional device business department director
Physical Write-off	The SNs of flagship products are inconsistent, and the models of non-flag products are inconsistent.	HQ sample: Level-4 director - > Quality & Operations director of the level-3 department - > Level-3 department director
Non-physical Write-off	The product model and SN of write-off materials are inconsistent with those registered in the system, and the SN of flagship devices is missing.	Remarks: (1) If financial elements are involved, add the financial director of the corresponding domain to review the elements.
Other scenarios	Other scenarios where there are deviations from the sample management process document	(2) The approval of "physical write-off" and "non-physical write-off" shall follow the special scenario write-off process of the TSMP. (3) Sample application and other scenarios must be approved by the internal memo and copied to the vertical management department of samples under the MSS Quality & Operation Dept.

4 Roles and Responsibilities

Role	Responsibilities	Job/Position
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Regional sample planner	1. Determine the regional annual product planning and provide basis for the requirement planning of rep offices. 2. Plan application: As the primary owner for regional plan application, the planner needs to collect or report the regional/rep office sample plans, and take responsibility for the quantity of samples requested in the region. 3. Plan breakdown: Refer to the goods preparation data at the HQ and the sample requirement plan of rep offices, break down the sample preparation plan. (See the Budget Planning and Planned Goods Preparation Operation Guide for details.)	Regional GTM manager/marketing manager/channel manager/retail manager/service manager, etc.
Rep office sample demander	Rep office budget planning: Referring to the type of the demander's department, number of countries and cities under this department's authority, and historical sample application data, determine the requested quantity of products in this year and assess the sample budget limit of the rep office based on the product roadmap, sales strategy, and the department demand streamlined by the product manager. (For details, see the <i>Budget Planning and Planned Goods Preparation Operation Guide</i> .) In addition, update the sample budget and plan of the rep office based on the actual business requirements.	Rep office GTM manager/marketing manager/channel manager/retail manager/service manager, etc.
Regional marketing review committee	Sample quantity and budget review: Review the sample requirement plan of the region.	Regional marketing review committee or other relevant decision making organizations, for example, the GTM control review committee
Sample budget specialist	1. Configure the annual and quarterly sample budget of each region/rep office on TSMP. 2. Review rep offices' beyond-budget applications, and adjust/add the quarterly budget or reject the applications.	HQ CFO/finance Regional CFO/finance Rep office CFO/finance
HQ contact person for goods preparation of the corresponding business line	1. Goods preparation: Follow the GTM and R&D pilot manufacturing pace, collects the sample plan requirements of each region and confirm the sample preparation plan, submit the data to the R&D or supply chain to arrange goods preparation. 2. Inbound and release: Allocate samples globally based on the actual inbound status and the GTM strategy. 3. For unplanned applications of the region, allocate redundant goods of other regions or increase the quantity of goods preparation. 4. Record the goods preparation and actual picking of each region/rep office, and identify the ownership of overdue goods	Sample administrator of the HQ GTM/marketing/retail/ service and other departments



	preparation inventories. (Refer to the <i>Budget Planning and Planned Goods Preparation Operation Guide</i> for details.)	
HQ contact person for planning of the corresponding business line	Review the sample preparation plan based on the GTM control pace, R&D trial production pace, regional sample plan requirements, or historical product delivery data.	HQ market representative/marketing manager/retail manager/service manager, etc.
MSS sample administrator	1. Arrange materials picking and shipment based on frontline requirements and relevant import and export control. Follow the <i>PO-based Sample Delivery Process Outside China</i> and <i>Consigned Delivery Process</i>. 2. Track the implementation of sample management requirements, monitor the timeliness and standardization of sample execution in each phase, identify and report issues in a timely manner, and track and improve them. <u>Note</u>: The physical keeping of samples that are to be delivered by self-pickup is in the charge of the Consumer BG Hardware Engineering Quality & Operations Dept.	Sample administrator of the Marketing and Sales Service Quality & Operation Dept
Sample applicant	Create a sample application e-flow as required based on actual business requirements and track the e-flow until it is approved.	Huawei employee who has a W3 account (Apply for the Sales & Service Sample User permission through iAuth e-flow)
Sample registrant	As the immediate responsible person for physical and information security of sample assets, keep a record of sample use (secondary distribution), regularly count samples, and initiate sample write-off promptly.	Huawei regular employees or Smartcom employees in MSS positions of the MSS system (Apply for the Sales & Service Sample User permission through iAuth)
Rep office approver	Application approval: Approve the rationality of sample applications and accuracy of requirement information of the rep office.	Director of the rep office device business department, etc.
Sample user	Use samples based on business needs. Using samples for personal purposes is prohibited. Keep them properly, and promptly return/write them off.	Actual sample user (including business personnel without the sample registration permission)
Regional/Rep office /Country sample administrator	Manage the samples of regions/Rep office /country-level teams. The permissions to query document details and sample registration information, apply for samples on behalf of others, and re-assign samples should be applied for in iAuth. Also, the permissions of sample renewal, transfer, use change, physical	Specified by the region or rep office or country



	write-off, non-physical write-off, and compensation write-off need to be applied for in iAuth and approved by a level-4 department director. Note: When handling special tasks, add permissions temporarily as required.	
Service manager	1. Receive the physical samples to be written off. 2. Confirm the sample write-off and inbound bill in CSPM and check whether physical samples are consistent with the inbound record.	RTC (Reverse Test Center) inspector or rep office service manager
The Execution Representative of SPDT	Maintain the prices of all sample models on the background of the TSMP.	SPDT OE

5 Tailoring Instructions

NA

6 Process Interface

1) Upstream Process Interface Description:

Process Input (BI)	Front-end Process
The annual sample requirement is planned.	Sample requirements based on the purpose of use

2) Downstream Process Interface Description:

Process output (BI)	Back-end Process
Samples are written off and deregistered.	Samples are written off to the service manager or sent back to the warehouse, or are not approved for the write-off, or the compensation write-off/individual purchase write-off is successfully deducted or the collection is recorded in the account.

7 Supporting Documents

No.	Document Name	Document Code
1	Sample Evaluation Commitment Letter (This template is a general version. If regions have special requirements, customize the template and submit it to the legal affairs department for review before using it, but must include appropriate compliance statements such as the privacy protection statement and ABC statement; If the latest template adapted by each region is not used and it is only used as the authenticity proof, the Sample Special Write-Off Description shall also be provided.) Note:	 Huawei Sample Device Evaluation

	1. Each region/rep office/country customizes Huawei's public emails in the template based on the local public emails. 2. Regions/rep offices/countries assess the requirements based on the actual situation. If the sample commitment letter template for marketing media evaluation cannot contain public mails, follow the special scenario approval process and report to the Device BG Marketing & Sales Service Quality & Operation Dept and the Device BG Marketing Dept. 3. The official public email owner of the representative office distributes the email about sample information to the representative office PC and copies it to the business director.	
2	Form of sample special write-off description	 Form of sample special write-off c
3	Sample Asset Compensation Application Form	 Sample Asset Compensation Ap
4	MSS Sample TSMP Permission Management Requirements	 MSS Sample TSMP Permission
5	PO-based Sample Delivery Process Outside China	 PO-based Sample Delivery F
6	Regulations on Managing Sample Warehouse Logistics of the Consumer BG	 Regulations on Managing Sampl
7	Sample Returning and Receiving Criteria for Physical Write-off	 Physical Sample Return and Accep
8	Test Guide to the RTC End of the TSMP Write-off Sample	zh-cn16032673
9	KCP Compliance Testing Plan for the Consumer BG MSS Sample Application and Write-off Process	 KCP Compliance Testing Plan for tl
10	Retail Sample Management Regulations	BP0001725994
11	Customer Paid Testing Sample Business Process View	BP0002830508

	Consumer BG	
12	Sample Administrator Delivery Checklist	 Sample Administrator Del
13	Budget Planning and Planned Goods Preparation Operation Guide	 Budget Planning and Planned Goo
14	MSS Sample Device Management Agreement	 MSS Sample Device Manag...
15	SOD Matrix of the MSS Sample Management Process	 SOD Matrix for MSS Sample Man
16	Reference Baseline for Sample Application	 Reference Baseline for Sam
17	Operation Guidance on Manual registration for samples out of TSMP system	 Operation Guidance on Man

8 Process Performance Indicator

Metric Name	Proportion of the global shipment to the sell-in
Purpose	Reduce the cost input of samples.
Definition	In the same cycle and similar products, the proportion of total quantity of samples shipment volume to the total quantity of sell-in.
Formula	Total quantity of samples shipment volume/ Total quantity of sell-in x 100%
Unit of Measurement	Percentage
Statistical Period	Monthly
Note	NA



Metric Name	Non-physical write-off rate
Purpose	In principle, physical write-off shall be adopted for all samples to reduce the risks such as BCG, personal use, and comply with the compliance requirements. The approver shall strictly review non-physical write-off of samples and control the quantity of samples that go through non-physical write-off and the non-physical write-off rate based on the purpose of use.
Definition	Proportion of the quantity of samples for which non-physical write-off is adopted to the total quantity of samples that are written off by the purpose of use
Formula	Total quantity of samples for which non-physical write-off is adopted/Total quantity of samples that are written off x 100%
Unit of Measurement	Percentage
Statistical Period	Quarterly
Note	NA

Metric Name	Proportion of expired samples that are not written off
Purpose	In principle, the usage period of a sample is managed based on the corresponding registration period table to prevent sample loss.
Definition	Proportion of registered samples that are not written off before the registration period expires to total registered samples
Formula	Number of expired samples that are not written off/Total number of registered samples x 100%
Unit of Measurement	Percentage
Statistical Period	Monthly
Note	NA



Metric Name	Sample stocktaking rate
Purpose	Ensure the consistency of inventory accounts and goods (CIAG), identify and reuse idle samples promptly, and achieve more efficient sample usage.
Definition	Proportion of the actual quantity of physical goods in hand to the total quantity of registered samples
Formula	$[1 - (\text{Inventory loss} + \text{Inventory profit} + \text{Number of units with problems in audit, investigation, and inspection reports}) / \text{Planned Counting Data}] * 100\%$
Unit of Measurement	Percentage
Statistical Period	Quarterly /Semi-annually
Note	Note: The number of faulty units in the audit, investigation, and inspection report refers to the number of faulty units in the corresponding counting period. (Number of TSMP samples with inventory gain and loss, repeated write-off, and fake/non-physical write-off) Data provider: MSS quality & operation internal control specialist.

9 Term

Term	Definition	Synonym
TSMP	Terminal Sample Management Platform	NA

10 Version Information

Version	Effective Date	Prepared by	Revision Description	Approver
V01.00	Yan Minzhang	2008-10-24	New	Zhu Zhendong/0011 6079
V01.10	Li Tao/00130110	2009-10-30	Specified the IT system name and optimized the approval links, etc.	Zhu Zhendong/0011 6079
V02.00	Li Tao/00130110	2010-06-22	Updated contents of plan management, application, and write-off management.	Zhu Zhendong/0011 6079
V02.50	Xu Yong	2011-06-17	Added descriptions of approval for the HQ sample application and abnormal write-off management, etc.	Li Bin/00118571
V03.00	Bi Chunguang/00195608	2013-07-25	Integrated and simplified the current process and handset pilot process, and unified the application process of sales and	Dai Shengwei/0011 2339



			MKT samples.	
V04.00	Bi Chunguang/00195608	2014-11-07	Separated retail samples from MKT samples based on the latest organizational transformation.	Dai Shengwei/0011 2339
V05.00	Sun Jinzhai/00128373	2015-07-31	Clarified roles for process activities, updated role names, and modified the outbound warehouse for MKT and retail samples.	Dai Shengwei/0011 2339
V06.00	Zhao Xinhua/00220263 and Zhang Aigui/00257058	2016-03-31	1. Added roles of goods preparation contact and updated role names. 2. Added the sample plan reporting process and sample write-off process.	Dai Shengwei/0011 2339
V07.00	Zhao Xinhua/00220263 and Zhang Aigui/00257058	2017-09-11	1. Updated the sample plan reporting process and the sample write-off process (including compensation write-off, physical write-off, non-physical write-off, and sample transfer e-flow); added a description of write-off types for non-physical write-off, the process flow diagrams of local sample picking and outsourcing factory sample picking, and the sample reception criteria for physical write-off. 2. Added the sample budget configuration process, baseline reporting process, secondary distribution process, and sample reuse process.	Huang Zirong/0034464 8
V08.00	Zhao Xinhua/00220263 Zhang Aigui/00257058 Guo Xiaobing/00440581	2018-05-10	1. Included sample-related business regulations and templates in the process document. 2. Added two types of samples (i.e. seeding samples and shop assistant evaluation samples). Separated physical write-off and non-physical write-off. 3. Added two KPIs (the baseline execution rate and the non-physical write-off rate). 4. Changed the service sample renewal period: Service samples can be used for nine months and renewed once in	Huang Zirong/0034464 8



			each sample renewal application, and each renewal period is three months. 5. Optimized the proof document template for non-physical write-off. Replaced paper document signing by the director for non-physical write-off/compensation write-off with e-flow approval. 6. If any sample is overdue for three months (or longer), the sample shall be deemed lost. 7. Optimized the approval mechanism to improve work efficiency. For details, see the related document 5 <i>MSS Sample TSMP Permission Management Requirements</i>.	
V08.10	Gong Zhiming/00275656 Jiang Shengshan/81004334	2019-4-19	1. Simplified the sample process, optimized the baseline/plan/management, planned goods preparation, and sample application operations. 2. Added the write-off types for business domains in the KCP Compliance Testing Plan for the Consumer BG MSS Sample Application and Write-off Process. 3. Added technical control requirements for samples. 4. Connected physical write-off to the reuse process of service backup devices. 5. Updated applicable scenarios in the non-physical write-off template. 6. Updated other attachments: Updated the metrics (budget execution rate), TSMP permission management regulations, PO-based delivery template (compliance confirmation), <i>Huawei Device Sample Device Review and Trial Agreement</i>, and the sample management PIA report.	Huang Zirong/0034464 8



V09.00	Zhang Jianfeng/00544261 and Li Xueqing/84012640	2020-4-16	Major updates: 1. Added the following use of sample: ecological sample and FF portable sample. 2. Added the approval requirements for media evaluation samples: Submit the samples to the director of the regional marketing dept for approval. 3. Added the following restriction on transfer: Expired samples cannot be transferred directly. 4. Updated the rules of renewal times. 5. Added the use change process. 6. Specified the pre-installation rules of management APK. 7. Added the requirements for signing the evaluation agreement and collecting the experience report. 8. Canceled the automatic compensation write-off triggered by overdue samples of overseas employees. 9. Revised the Sample Evaluation Agreement: Complete the ABC and personal data privacy protection clauses. 10. Added the pilot scenario: employee incentive for large-screen product. 11. Updated the compensation benchmark price and discount rules.	Huang Zirong/00344648
V09.10	Zhang Jianfeng (employee ID: 00544261)	2020-10-03	Change description: 1. Added the scenario where VIP samples are used. 2. Added the budget review requirements for the regional MMC. 3. Added requirements on business review and clearance of overdue standby goods to goods preparation planning. 4. Updated the sample suspension period.	Huang Zirong (employee ID: 00344648)



			5. Specified the requirements for semi-annual stocktaking of samples. 6. Added the individual purchase write-off scenario. 7. Updated the indemnity price rules. 8. Added BC/PC review to non-physical write-off.	
V10.00	Yu Xiaojian 00301554 Li Xueqing 84012640 Zhong Haiyu 84190113	2021-12-25	1. Added direct store usage of sample and business scenarios in Retail sample type. 2. Added sample requirement baseline. 3. Updated sample registration cycle list. 4. Updated sample stocktaking requirement. 5. Added manual registration for samples out of the TSMP system. 6. Added HiLink sample management. 7. Updated physical write-off requirement. 8. Updated low-value sample write-off management.	Xu Qinsong (employee ID: 00338918)
V10.01	Yu Xiaojian 00301554 Li Xueqing 84012640 Zhong Haiyu 84190113	2022-10-17	Corrected some mistakes: 1. Updated some description in 02-2 activity of chapter 5.1. 2. Added non-physical write-off notice of GTM testing sample. 3. Updated the flowchart of physical write-off processes.	Xu Qinsong (employee ID: 00338918)
V10.1	Xuyang 00443394 Weixia 00337496 Lixueqing 84012640	2022-03-26	1. Modified the content about sample types, usage, business scenarios, and renewal times. For details, see the corresponding section in the text. 2. Deleted the content about ecological samples. 3. Modified the approvers and optimized the approval process in each scenario. For details, see the corresponding section in the text.	Xu Qinsong (employee ID: 00338918)



V10.2	Xu Yang 00443394 Wei Xia 00337496 Li Xueqing 84012640	2022-08-01	1. Supplemented the content about applications, approval and write-off of seeding samples. 2. Optimized of KCP02 and non-physical write-off.	Xu Qinsong (employee ID: 00338918)
V11.0	Xu Yang 00443394 Wei Xia 00863813 Li Xueqing 84292868	2023-12-12	1. Added the marketing samples scenario of using samples in consumer marketing activities (Only for the Greater China Device Marketing Dept). 2. Added the marketing samples scenario of using samples in co-branding activities (Only for the Greater China Device Business Dept). 3. Global service: Updated the Sample Returning and Receiving Criteria for Physical Write-off Physical goods. 4. Add products (PCs: X series, digital series, and 2-in-1 series; tablets: MatePad Pro series; smart watches: Ultimate series) the physical number must be verified, execution from March 1, 2024 5. Optimization of other details: General offsetting types are detailed, Special scenarios are archived only as Exceptional Reporting Mechanism for No Business Process Support or Process Deviation Caused by External Objective Factors.	Zhanghonghua 00419304
V11.10	Haole 00565385 Wei Xia 00863813 Li Xueqing 84292868		1. Samples returned by partners (GTM test samples and MKT media evaluation) a) Optimize the evaluation commitment letter template, and guide partners to send sample return information to the official email. (b) Adjust the formula for calculating the CIAG rate. Include the number of units with issues in the audit, investigation, and inspection reports in the inventory loss and inventory gain. c) Added the requirements for checking samples returned by partners (test organizations, carriers, and PR/KOL	Zhanghonghua 00419304



			agencies). 2. Added the verification of the SN of the live demo device. 3. Change the responsibility of stocktaking supervision: Change the responsibility of stocktaking supervision from Finance to PCs at all levels. 4. Approval for more than one renewal: approved by the MSS president change to approved by the director of the corresponding tier-3 department. 5. Approval path for special scenarios: rep office director -> regional CFO -> regional director -> HQ industry line director GBPO -> director of the MSS Quality Operations Dept changed to rep office director -> regional quality operations director -> regional director 6. Compensation write-off and individual purchase write-off are changed from compensation deduction to QR code scanning. The official go-live date is April 1, 2025. 7. Optimization of consumer marketing activities and samples for cooperation between different industries in the China Region (a) Cancel the automatic write-off trigger of low-value consumer marketing activities. (b) The only for testing and not for sales labels are not attached to consumer marketing sample and Co-branding sample. (c) Added "Consumer marketing" and " Co-branding" for Consumer marketing sample and Co-branding sample write-off types.	
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